

**Iowa City Community School District
Iowa City, Iowa**

Annual Comprehensive Financial Report
Year Ended June 30, 2022

Iowa City Community School District Iowa City, Iowa

Annual Comprehensive Financial Report
Year Ended June 30, 2022

Official Issuing Report:
Leslie Finger
Chief Financial Officer, Treasurer

Office Issuing Report:
Education Services Center

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Iowa City Community School District

Educational Services Center

Matthew Degner Superintendent of Schools

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December 20, 2022

The Board of Education and Residents
Iowa City Community School District

I am pleased to submit the Annual Comprehensive Financial Report of the Iowa City Community School District (the District) for the fiscal year ended June 30, 2022. The report has been prepared to conform to guidelines recommended by the Association of School Business Officials International and the Government Finance Officers Association of the United States and Canada. The responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with the officials of the District's Central Administration staff. We believe that the data is accurately presented, in all material respects; that the data is presented to fairly set forth the financial position and results of operations of the District as measured by the financial activity of the various funds; and that all necessary disclosures have been included in order to enable the reader to gain the maximum understanding of the District's financial affairs.

RSM US LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the District's basic financial statements for the fiscal year ended June 30, 2022. The independent auditor's report is located at the front of the financial section of this report.

The Annual Comprehensive Financial Report is presented in four sections: introductory, financial, statistical and single audit compliance. The introductory section includes this transmittal letter, the District's organizational chart and a list of principal District officials. The financial section includes the independent auditor's report, the Management's Discussion and Analysis, the basic financial statements, and the combining and individual fund financial statements and schedules. The statistical section includes selected financial and demographic information, generally presented on a multi-year basis.

Management's discussion and analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview and analysis of the basic financial statements. The MD&A complements this letter of transmittal and should be read in conjunction with it.

The District was required to undergo a single audit in conformity with the provisions of the Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plan are included in the single audit compliance section of this report.

This report includes all funds of the Iowa City Community School District. The District provides a full range of programs and services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical, extra co-curricular and athletic activities, and community education.

Profile of the Government

In Iowa, school districts operate in accordance with Dillon's Rule with local control and have fiscal independence from other governmental entities. The District operates in compliance with the accounting principles generally accepted in the United States of America (GAAP) and currently prepares its financial statements per the Governmental Accounting Standards Board (GASB) Statement No. 34.

The Iowa City Community School District is a political subdivision of the state of Iowa and operates public schools for children in grades pre-school through twelve. The District is governed by a seven member Board of Education whose members serve four year terms and are elected on a nonpartisan basis. The Board of Directors is a policymaking and planning body whose decisions are carried out by school administrators.

The Iowa City Community School District serves nearly 125,000 people who live in Iowa City, Coralville, University Heights, Hills and North Liberty and the surrounding predominately agricultural territory in central Johnson County. Covering nearly 133 square miles, the District has developed around the City of Iowa City and The University of Iowa. The District has experienced consistent growth over the last 15 years, growing from 11,268 in 2006 to 14,440 in October 2022. The District is currently the fifth largest public school in the state of Iowa.

The District operates three comprehensive high schools, an alternative high school, three junior high schools, 21 elementary schools and center for offsite programs. In August 2021, the District began offering a K-12 Online Learning Program as approved by the Iowa Department of Education. The District also maintains a maintenance/warehouse facility, transportation facility, three athletic complexes, an administrative office/professional development center and added a multi-purpose instructional and administrative facility in November 2022. The Iowa City Community School District provides a comprehensive educational program appropriate to students in early childhood and grades pre-school through twelve. These services include basic, regular and enriched academic education, special education, vocational education and numerous individualized programs such as instruction for students at-risk, gifted and talented or limited English proficiency (LEP).

Relevant financial policies

The Iowa City Community School District operates under the laws as defined in the Code of Iowa and policies as determined by the local Board of Directors. A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source. Annual budgets are provided to the Department of Management and annual financial reports are provided to the Iowa Department of Education in their prescribed formats. Periodic financial reports are submitted to the Iowa Department of Education or other granting agencies for many federal and state grants.

The Iowa City Community School District's Board of Education takes its fiduciary responsibility very seriously. It has adopted policies defining a budgeting process, quarterly financial reporting, purchasing, facilities planning, insurance and cash management. Idle cash is invested in Board approved allowable investments which include certificates of deposit, money markets and pooled investment trusts. A quarterly investment report is provided indicating performance of investments to a comparative benchmark.

Economic Condition and Outlook

The District is located in the eastern part of the state, within the larger Iowa City metropolitan area and has been one of the larger growth areas of the state in the last ten years. The economic condition and outlook of the District has remained strong during the past ten years despite some economic downturns experienced in many areas, including several years of high economic growth and steady enrollment growth in the local area. This growth has had a positive

effect on employment and the District's tax base. The District has experienced steady increases in its tax base over the past 25 years and continued with an increase during 2023 of approximately one percent.

Major employers within the District include The University of Iowa and The University of Iowa Hospitals and Clinics, American College Testing and Pearson Educational Measurement as well as two other hospitals. These employers provide a strong employment base in the education and health care industries. The unemployment rate of the Iowa City area is consistently one of the lowest in the state of Iowa and well below national averages even during periods of recessionary trends. In addition, the Iowa City area is served by two nearby regional airports and two major interstate highways. The economic development organizations of Johnson County have teamed with similar organizations in Linn County to the north to develop a "technology corridor" which combines the strong health care and education industries of Johnson County with numerous manufacturing and financial service organizations in Linn County for a wide range of economic and employment opportunities. Iowa City is also consistently promoted in major business publications as one of the best places in the United States for business, schools and quality of life. These recognitions include a #19 of 100 Best Places to Live by Money, #1 for "Best College Town in America" by reviews.org in 2018, #2 Most Fitness-Friendly Places for 2020 by SmartAsset, #4 on the "Best Places to Live" by Liveability.com in 2019, #3 of 10 Best Places to Get a Fresh Start by Livability and #1 state in the Country by US News & World Report in 2018. In March 2021, US News ranked Iowa the #1 state for opportunity. The area has also been recognized for its quality as a best college town, city for college grads and workforce quality by various sources. Iowa City was also designated by UNESCO as the world's third City of Literature in 2008, one of only two such designations in North or South America and is home to the International Writing Program. The University of Iowa also developed the best tradition in college football with the wave by teams, officials and fans to children being served in the University of Iowa Stead Family Children's Hospital. The community has hosted Olympic wrestling qualifying events and was recently awarded the World Freestyle Wrestling Cup events for 2022 and 2023. In April 2018, MSN Money named Iowa City Community School District the #1 school district in the state using an index that measures child poverty, per-pupil expenditure, graduation rate, teachers per student, percentage of adults with a bachelor's degree, preschool enrollment and advanced placement enrollment.

The tax base for the area is estimated to continue to grow in the three percent range. The District has experienced an enrollment growth of over 1,300 students over the last ten years. Future projections indicate small enrollment increases over the next five years. The District has experienced an increase in its October 2022 official enrollment of 45 students, a partial recovery from the decline of 288 students in 2020 primarily due to the impact of the coronavirus and 111 students in 2021.

Retail sales, building permits and population increases in the area continue to exceed that of most other areas in the state of Iowa during the past several years. Future increases are projected to continue, however economic conditions on the national and state levels in the area will impact local growth levels. A large percentage of the past area increases have occurred within the School District boundaries.

The District's budget is largely dependent on the Iowa school funding formula and various economic factors. For the years 2001-2011, the state of Iowa experienced economic conditions that hampered its ability to fund schools at annual levels of approximately four percent as in prior years. This period included an across-the-board reduction of \$5,600,000 from the Governor's executive order which the District used its General Fund balance to absorb the reduction. The District also implemented a cash reserve levy for fiscal year 2011 to partially replenish the fund balance and the District maintained significantly all of its programs and services during these conditions. During the last nine years, the state legislature has provided annual growth from one to four percent. The impact on future periods is unknown as funding is determined on an annual basis by the Iowa Legislature.

The District serves the nearly 14,500 students in buildings built from 1917 to 2019. The District has maintained a building envelope and roof maintenance program for many years to monitor the physical considerations of its facilities. District officials developed a 10-year facility master plan in 2013 for planning the maintenance and capital project needs of the District, including life cycle programs for major maintenance and equipment needs, remodeling

and renovation of existing facilities and the construction of new facilities throughout the District. This facility plan was substantially completed early in 2022, nearly two years ahead of the original plan saving millions of dollars in construction inflation and borrowing costs. The Board and administrative team has started a second 10 year facility master plan with initial projects being additions on the three junior high school buildings in preparation of a transition to a middle school instructional model in August 2024.

The District has completed numerous construction projects during the last ten years. The District completed construction of a fine arts addition at City High School that opened in August 2013. Alexander Elementary School opened in August 2015 and major additions were completed on three elementary schools and an eight classroom addition at City High School during 2015-2016. Liberty High School, a third comprehensive high school in North Liberty, Iowa was opened for in August 2017 with a total cost of nearly \$57 million. Athletic complexes and additional classroom space were constructed on the Liberty campus to accommodate student growth and were funded from general obligation bonds as approved by District voters in September 2017. The District also completed construction of two new elementary schools that opened in August 2017 and August 2019. Major additions and renovations have been completed at City High School and West High School and remodeling/renovation projects have been completed at four elementary schools and a junior high school. These projects were the final projects of the District's first facility master plan. The District strives to construct and renovate their facilities with energy efficient construction methods and has received several energy efficiency awards as well as rebates from the utility companies for this construction. These efficiencies also assist with reduction of ongoing utility costs of the District's General Fund.

The District owns a parcel of land of 42 acres in the northern portion of the District for the future construction of school facilities. During the year ending June 30, 2014, the District purchased land for Alexander Elementary School that opened in August 2015 and Hoover (east) Elementary School that opened in August 2017 and Liberty High School completed in August 2017. The District also purchased the land and building utilized by the District's transportation provider. In June 2017, the District purchased a parcel of land containing approximately 18 acres near North Liberty and constructed Grant Elementary School on the parcel that opened in August 2019. The District has also purchased two units previously leased for one its special education programs. In August 2019, the District purchased a warehouse building adjacent to the transportation facility which replaced a previously leased warehouse facility. In November 2022, the District will complete the acquisition of a multi-use facility with anticipated use for District educational programs, office space and expanded professional development opportunities.

In February 2007, the residents of Johnson County approved a resolution and Revenue Purpose Statement for a 1 percent local option sales tax for a period of 10 years that began on July 1, 2007. The sales tax resulted in revenues of approximately \$13-14 million annually for the first five years, \$10 million annually for several years, but have increased to amounts of approximately \$15 million due to growth in the state's economy. In February 2013, District voters approved the extension of the sales tax Revenue Purpose Statement through June 30, 2029. The District is using these sales tax revenues to fund various projects in the facility master plan as allowed in the Code of Iowa and the approved Revenue Purpose Statement. The Iowa Legislature approved an extension of the sales tax provisions to 2050 that will allow the District to access funding for future construction projects or repayment of general obligation bonds and in November 2021 District voters extended the Revenue Purpose Statement to 2050 to match the legislative action.

The high schools provide a full selection of opportunities in their music departments. Each year, the District has a high number of all-state musicians in addition to consistently earning Division I ratings at state contests. City High and West have both earned at least one Grammy Award for their music department in recent years.

The three comprehensive high schools offer athletic programs in 19 different sports. State championship honors have been earned in boys' soccer, tennis, swimming and basketball while state placing went to boys' and girls' cross country, football, track, volleyball and girls' tennis and basketball during the last four years. The District's three junior high schools also offer athletic programs in 10 different sports.

The high schools also support strong programs in math, debate and journalism that regularly receive state, regional and national recognition.

Students of the District continue to achieve high rankings on college entrance exams and are recognized as National Merit Scholars. The composite averages on these exams are consistently in the top 5 percent of the state and significantly exceed the national averages. These students achieved a graduation rate of nearly 92 percent in 2022 with over 79 percent planning to continue their education at postsecondary schools or other training opportunities.

Other Financial Information

Management of the District is responsible for establishing and maintaining an internal control designed to ensure that its assets are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America. The internal control is designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable assurance recognizes that the cost of a control should not exceed the benefits likely to be derived and the valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state and county financial assistance, the District also is responsible for ensuring that an adequate internal control is in place to ensure compliance with applicable laws and regulations related to those programs. This internal control is subject to periodic evaluation by management and external auditors.

As a part of the District's single audit, described earlier, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal awards programs. The results of the District's single audit for the fiscal year ended June 30, 2022 provided no violations of applicable laws and regulations.

Budgetary Controls. In addition, the District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General Fund, special revenue funds, Debt Service Fund, enterprise funds and Capital Projects Fund are included in the annual appropriated budget by program. Project length financial plans are adopted for the capital projects funds and budgeted accordingly on an annual basis. The level of statutory budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all funds combined rather than at the individual fund level.

Basis of Presentation. The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records conform to the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Department of Education, state of Iowa. The chart of accounts manual is updated annually and the District is in full compliance with these requirements.

Cash Management. Cash, while temporarily idle during the year, was invested in money market deposit accounts and other short-term investments as allowed by law. Interest rates remained low during most of the current fiscal year due to coronavirus conditions and the District experienced lower interest revenue compared to previous years. The District has experienced an increase in rates during the latter half of 2022 that will assist District budgets and continue efforts to maximize the yield on our investments in accordance with the Board approved investment policy without forfeiting the use of fund balances.

Risk Management. The District utilizes a single medical care facility and dedicated physician program for its workers compensation program to lower the claim expense and experience modification factor as it relates to workers' compensation. A safety committee has been operational for several years and meets periodically to review the District's facilities and programs. The District manages a self-funded health insurance plan for its employee medical and prescription program. The health plan is funded at the maximum expected claim levels and coverage for individual and aggregate stop loss coverage is purchased by the plan. The District is also managing the health plan in accordance with the provisions of the Patient Protection and Affordable Care Act.

Awards and Acknowledgments

Independent Audit. The accounting firm of RSM US LLP was selected to perform the annual audit in accordance with Chapter 11 of the Code of Iowa. In addition to meeting the requirements set forth in state statutes, the audit was designed to meet the requirements of the Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the basic financial statements, combining and individual fund statements and other schedules is included in the financial section of this report.

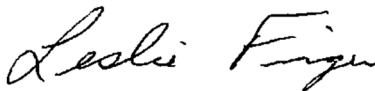
Awards. The Government Finance Officers Association of the United States and Canada (GFOA) awards a Certificate of Achievement in Financial Reporting and the Association of School Business Officials International, (ASBO) awards a Certificate of Excellence in Financial Reporting. The Iowa City Community School District received both of these Certificates for its annual comprehensive financial report for the fiscal year ended June 30, 2021. Each Certificate is a prestigious national award, recognizing conformance with the highest standards for preparation of government financial reports.

In order to be eligible to receive the Certificates, a governmental unit must publish an easily readable and efficiently organized Annual Comprehensive Financial Report (ACFR) whose contents conform to program standards. This report must satisfy both accounting principles generally accepted in the United States of America and applicable legal requirements.

These Certificates are valid for a period of one year only. The Iowa City Community School District has received these awards for the sixteen previous fiscal year's Annual Comprehensive Financial Report. I believe that our current ACFR conforms to the requirements for both awards and, therefore, we are submitting to the GFOA and ASBO to determine its eligibility for each Certificate. The Iowa City Community School District had not applied for the Certificates in any years prior to 2006.

Acknowledgment: The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the accounting staff and our auditors, RSM US LLP. I would like to express my appreciation to all staff members who assisted and contributed to this report as well as members of city and county governments. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Respectfully submitted,



Leslie J. Finger
Chief Financial Officer, Treasurer & SBO

Iowa City Community School District

Matt Degner
Superintendent of Schools

Amy Kortemeyer
Deputy Superintendent

Chace Ramey
Deputy Superintendent

Executive Directors

Nick Proud
Executive Director of
Teaching and Learning

Diane Schumacher
Executive Director of
Teaching and Learning

Teaching & Learning Directors

Lora Dailly
Director of Learning
Supports

Laura Gray
Director of Diversity &
Cultural Responsiveness

Lisa Glenn
Director of Special
Education

Kate Callahan
Director of Student
Services

Teaching & Learning Assistant Director

Ashley Reedy
Assistant Director of
Special Education

Operations Directors

Leslie Finger
Chief Financial Officer

Kristin Pedersen
Director of Community
Relations

Eric Howard
Director of Equity &
Employee Relations

Jeff Barnes
Director of Facilities
Management

Alison Demory
Director of Nutrition
Services

Adam Kurth
Director of Technology &
Innovation

Iowa City Community School District

**Board of Education and School District Officials
Year Ended June 30, 2022**

Board of Education

For the Period July 1, 2021 to June 30, 2022:

Name	Title	Term Expires
Shawn Eyestone	President	November 2023
Ruthina Malone	Vice President	November 2025
J.P. Claussen	Board Member	November 2025
Charlie Eastham	Board Member	November 2023
Jayne Finch	Board Member	November 2025
Lisa Williams	Board Member	November 2023
Maka Pilcher Hayek	Board Member	November 2023

School District Officials

Matt Degner	Superintendent	Appointed
Leslie J. Finger	Treasurer	Appointed
Joe Holland	Attorney	Appointed
Janet Grafft	Secretary	Appointed

Note: Subsequent to year-end, Ruthina Malone was elected President and Lisa Williams was elected Vice President. Shawn Eyestone resigned as President in August 2022 and Molly Abraham was appointed to serve the remainder of his term.



**The Certificate of Excellence in Financial Reporting
is presented to**

Iowa City Community School District

**for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2021.**

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, reading 'Will Sutter'.

William A. Sutter
President

A handwritten signature in black ink, reading 'David J. Lewis'.

David J. Lewis
Executive Director



Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**Iowa City Community School District
Iowa**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2021

Christopher P. Morrell

Executive Director/CEO

Independent Auditor's Report

Board of Education
Iowa City Community School District

Report on the Audit of the Financial Statements***Opinions***

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Iowa City Community School District (the District), as of and for the year ended June 30, 2022, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the District, as of June 30, 2022, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- exercise professional judgment and maintain professional skepticism throughout the audit.
- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, the schedule of the District's proportionate share of the net pension liability and schedule of District contributions for the Iowa Public Employees' Retirement System, the schedule of changes in the District's total other postemployment benefit plan liability and budgetary comparison information, as listed in the table of contents, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying combining nonmajor governmental fund financial statements and the accompanying schedule of expenditures of federal awards, as required by *Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying combining nonmajor governmental fund financial statements and the accompanying schedule of expenditures of federal awards are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual comprehensive financial report. The other information comprises the introductory and statistical sections, but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 20, 2022 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering District's internal control over financial reporting and compliance.

RSM US LLP

Davenport, Iowa
December 20, 2022

Iowa City Community School District

Management's Discussion and Analysis (unaudited) For Fiscal Year Ended June 30, 2022

Iowa City Community School District (the District) provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2022. We encourage readers to consider this information in conjunction with the District's financial statements.

Financial Highlights

Total net position increased \$30,692,257 from \$190,070,751 in 2021 to \$220,763,008 in 2022. Total revenues for the fiscal year 2022 increased \$14,540,046 from 2021. Total expenses decreased from \$235,125,142 in 2021 to \$231,312,063 in 2022.

General Fund revenues increased from \$190,498,914 in fiscal year 2021 to \$196,760,462 in fiscal year 2022, while General Fund expenditures increased from \$184,984,176 in fiscal year 2021 to \$202,187,558 in fiscal year 2022. In addition, the District transferred \$400,000 to other funds during fiscal year 2022. This resulted in a decrease in the District's General Fund balance from \$15,890,150 in fiscal year 2021 to \$10,063,054 in fiscal year 2022.

The increase in General Fund revenues for fiscal year 2022 was attributable to an increase in property tax revenues and 2.40% supplemental state aid (formerly allowable growth) as provided in the state funding formula by the Iowa Legislature and approximately \$9M provided from federal resources as a response to the coronavirus (COVID-19) pandemic. The increased expenditures in the General Fund were due to negotiated salary increases and increased staffing to serve student instructional and behavioral needs as a result of the coronavirus pandemic.

Overview of the Financial Statements

This report consists of three parts: management's discussion and analysis (this section), the basic financial statements and required supplementary information. The basic financial statements include two kinds of statements that present different views of the District.

- The first two statements are government-wide financial statements that provide both short-term and long-term information about the District's overall financial status.
- The remaining statements are fund financial statements that focus on individual parts of the District, reporting the District's operations in more detail than the government-wide statements.
 - ✓ The governmental fund statements explain how basic services, such as regular and special education, were financed in the short term as well as what remains for future spending.
 - ✓ The statements for proprietary funds offer short-term and long-term financial information about the activities the District operates like businesses, such as food services.
 - ✓ The statements for fiduciary funds provide information about the financial relationships in which the District acts solely as a trustee for the benefit of others.

The financial statements also include notes that explain some of the information in the statements and provide more detailed data. The statements are followed by a section of required supplementary information that further explains and supports the financial statements with a comparison of the District's budget for the year.

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Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

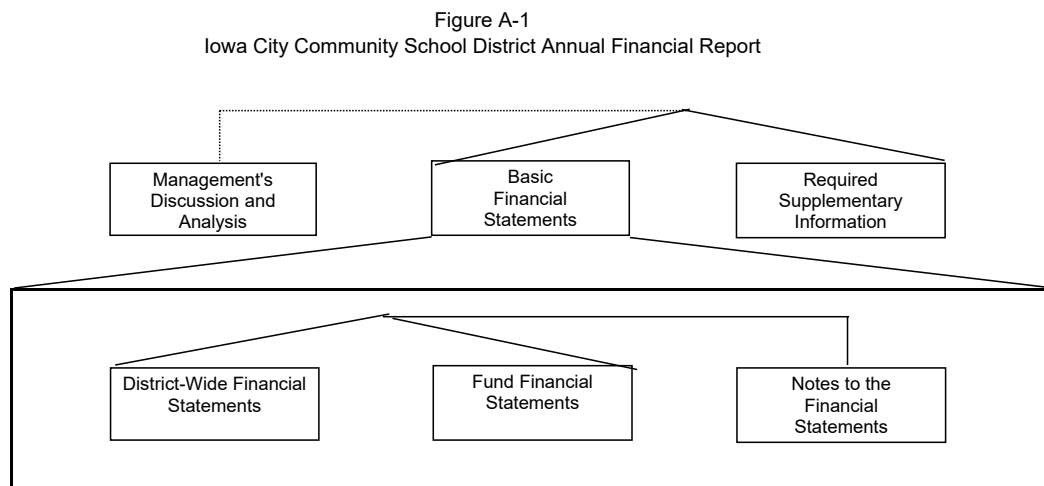


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain. The remainder of this overview section of the management's discussion and analysis highlights the structure and contents of each of the statements.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: food services and adult education	Instances in which the District administers resources on behalf of someone else, such as scholarship programs
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of fund net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

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Government-Wide Statements

The government-wide statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, liabilities and deferred inflows/outflows of resources. All of the current year's revenues and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows of resources and liabilities and deferred inflows of resources – are one way to measure the District's financial health or position. To assess the District's overall health, you need to consider additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities.

For the government-wide financial statements, the District's activities are divided into two categories:

- **Governmental activities:** Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- **Business-type activities:** The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included as a business-type activity.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

- Some funds are required by state law and by bond covenants.
- The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show that it is properly using certain revenues such as federal grants.

The District has three kinds of funds:

- **Governmental funds.** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information following the governmental fund statements explains the relationship or differences between the two statements.
 - ✓ The District's governmental funds include the General Fund, Physical Plant and Equipment Levy Fund, Management Fund, Student Activity Fund, Debt Service Fund and two Capital Projects Funds.
- **Proprietary funds.** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide statements.
 - ✓ The District's enterprise fund, one type of proprietary fund, is encompassed in the District's business-type activities, but provide more detail and additional information, such as cash flows. The District currently has one enterprise fund, the School Nutrition Fund.

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- ✓ Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District currently uses an Internal Service Fund to account for its self-insured health insurance and dental insurance funds.
- Fiduciary funds. The District is the trustee, or fiduciary, for assets that belong to others. These funds include a Private-Purpose Trust fund.
 - ✓ Private-Purpose Trust Fund – The District accounts for assets for scholarships for individual students in this fund according to the terms of the donor's request.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

Financial Analysis of the District as a Whole

Net position: Figure A-3 below provides a summary of the District's net position for the year ended June 30, 2022 compared to 2021:

Figure A-3
Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Change
	2022	2021	2022	2021	2022	2021	2022-2021
Current and other assets	\$ 193,829,600	\$ 202,634,389	\$ 6,542,895	\$ 3,887,397	\$ 200,372,495	\$ 206,521,786	\$ (6,149,291)
Capital assets	481,742,640	478,573,954	461,153	478,029	482,203,793	479,051,983	3,151,810
Total assets	675,572,240	681,208,343	7,004,048	4,365,426	682,576,288	685,573,769	(2,997,481)
Deferred outflows of resources	17,682,718	27,177,732	342,992	548,121	18,025,710	27,725,853	(9,700,143)
Long-term obligations	241,931,770	357,416,157	41,087	2,049,195	241,972,857	359,465,352	(117,492,495)
Other liabilities	46,472,425	48,543,353	234,367	285,285	46,706,792	48,828,638	(2,121,846)
Total liabilities	288,404,195	405,959,510	275,454	2,334,480	288,679,649	408,293,990	(119,614,341)
Deferred inflows of resources	189,590,133	114,877,040	1,569,208	57,841	191,159,341	114,934,881	76,224,460
Net position:							
Net investment in capital assets	242,903,354	234,857,308	461,153	478,029	243,364,507	235,335,337	8,029,170
Restricted	13,993,644	4,523,663	-	-	13,993,644	4,523,663	9,469,981
Unrestricted	(41,636,368)	(51,831,446)	5,041,225	2,043,197	(36,595,143)	(49,788,249)	13,193,106
Total net position	\$ 215,260,630	\$ 187,549,525	\$ 5,502,378	\$ 2,521,226	\$ 220,763,008	\$ 190,070,751	\$ 30,692,257

The District's total assets decreased by less than 1% during the year ended June 30, 2022. The decrease occurred primarily as a reduction in cash and cash equivalents as of June 30, 2022. The District increased staffing to address student instructional and behavioral needs from the recent pandemic. The District also completed the renovation of four elementary schools and two high school additions during the year ended June 30, 2022 accounting for the increase in the investment in capital assets as detailed in Note 5.

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Deferred outflows of resources decreased by \$9,700,143 primarily from amounts recorded for the IPERS defined benefit pension program as detailed in Note 7.

Long-term obligations decreased by \$117,492,495 and other liabilities decreased \$2,121,846, compared to the prior year. During the year ending June 30, 2022, the District reduced its long-term debt by approximately \$17.3 million in accordance with the debt service schedules of general obligation bonds, sales tax revenue bonds and capital loan notes issued in prior years as detailed in Note 6 to the financial statements. Long-term obligations decreased by approximately \$98.4 million for amounts recorded for the net pension liability as detailed in Note 7. Accounts payable accounted for the majority of the decrease in other liabilities due to fewer construction projects in process as of June 30, 2022 compared to the prior year.

The total net position of the District's business-type activities increased by \$2,981,152 compared to the prior year's balance. This increase is due primarily to an increase in revenues of the district's nutrition program resulting from federal funds which provided for all lunches and breakfasts served by the district.

Changes in net position – Figure A-4 shows the changes in net position for the years ended June 30, 2022 and 2021:

Figure A-4
Changes in Net Position

	Governmental Activities		Business-Type Activities		Total School District	
	2022	2021	2022	2021	2022	2021
Revenues:						
Program revenues:						
Charges for service and sales	\$ 3,148,593	\$ 2,251,074	\$ 908,370	\$ 404,205	\$ 4,056,963	\$ 2,655,279
Operating grants and contributions	42,848,684	33,587,992	9,188,778	5,467,733	52,037,462	39,055,725
Capital grants and contributions	920,352	768,076	-	-	920,352	768,076
General revenues:						
Property taxes	110,598,710	110,955,636	-	-	110,598,710	110,955,636
Sales tax	17,548,220	16,197,824	-	-	17,548,220	16,197,824
Unrestricted state grants	71,705,543	72,359,885	-	-	71,705,543	72,359,885
Unrestricted investment earnings	183,078	754,505	6,877	5,074	189,955	759,579
Gain on disposal of fixed assets	1,079,733	-	-	-	1,079,733	-
Other	3,867,382	3,632,537	-	-	3,867,382	3,632,537
Transfers	-	(200,000)	-	200,000	-	-
Total revenues	251,900,295	240,307,529	10,104,025	6,077,012	262,004,320	246,384,541
Expenses:						
Governmental activities:						
Instruction	145,213,310	150,028,116	-	-	145,213,310	150,028,116
Support services	71,212,133	71,028,366	-	-	71,212,133	71,028,366
Noninstructional programs	564,895	566,924	-	-	564,895	566,924
Other expenses	7,198,852	7,731,553	-	-	7,198,852	7,731,553
Business-type activities,						
nutritional services	-	-	7,122,873	5,770,183	7,122,873	5,770,183
Total expenses	224,189,190	229,354,959	7,122,873	5,770,183	231,312,063	235,125,142
Change in net position	27,711,105	10,952,570	2,981,152	306,829	30,692,257	11,259,399
Net position, beginning of year	187,549,525	176,596,955	2,521,226	2,214,397	190,070,751	178,811,352
Net position, end of year	\$ 215,260,630	\$ 187,549,525	\$ 5,502,378	\$ 2,521,226	\$ 220,763,008	\$ 190,070,751

Property and sales taxes and unrestricted state grants account for 77% and 81% of the total revenues for the years ended June 30, 2022 and 2021, respectively. The District's expenses primarily relate to instruction and support services which account for 94% of the total expenses for each of the years ended June 30, 2022 and 2021.

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Governmental Activities

Revenues for governmental activities were \$251,900,295 and expenses were \$224,189,190. This difference of \$27,711,105 was used primarily for the repayment of the general obligations bonds and capital loan notes. Revenues in the governmental activities increased \$11,592,766 or 4.8% over 2021. This increase is primarily from property taxes and state sources as provided through the school funding formula and approximately \$9 million provided by the Elementary and Secondary School Emergency Relief Fund (ESSER) and American Rescue Plan Act (ARP) enacted by the federal government from March 2020 to March 2021. Investment earnings decreased approximately \$500,000 compared to 2021 due to a lower balance of idle funds and lower interest rates compared to prior years.

The decrease in expenses in governmental activities of \$5,165,769 or 2.3% is related to allocation of adjustments for the net pension liability that exceeds the increases for salary and benefits from negotiated contract settlements and expenses from instructional materials during the pandemic. The District also recorded \$715,934 in the current year for other postemployment benefit expenses which are attributable to the statutory requirement that the District allows retirees the ability to purchase District sponsored health insurance at the employee's own cost. The District does not offer any voluntary postretirement benefits.

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, noninstructional programs and other expenses.

Figure A-5
Total and Net Cost of Governmental Activities

	2022		2021	
	Total Cost of Services	Net Cost of Services	Total Cost of Services	Net Cost of Services
Instruction	\$ 145,213,310	\$ (107,180,816)	\$ 150,028,116	\$ (121,547,173)
Support services	71,212,133	(62,326,998)	71,028,366	(62,902,167)
Noninstructional programs	564,895	(564,895)	566,924	(566,924)
Other expenses	7,198,852	(7,198,852)	7,731,553	(7,731,553)
Totals	\$ 224,189,190	\$ (177,271,561)	\$ 229,354,959	\$ (192,747,817)

- The cost financed by users of the District's programs was \$3,148,593 for 2022 and \$2,251,074 for 2021. This increase was primarily from an increase in tuition received from services provided to students from other school districts.
- Federal and state governments subsidized certain programs with grants and contributions totaling \$43,769,036 for 2022 and \$34,356,068 for 2021. The district had an increase in federal resources provided by ESSER and ARP legislation.
- The remaining net cost of governmental activities was financed with property tax, sales tax, state foundation aid and investment earnings.

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Business-Type Activities

Revenues of the District's business-type activities were \$10,097,148, excluding \$6,877 of investment earnings, and expenses were \$7,122,873. The District's business-type activities include the School Nutrition Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements and interest income. Revenues increased by approximately 66% due to a significant increase in the number of meals served as the district returned to a full in person instructional model compared to the prior year remote learning model for approximately 40% of district students attributed to COVID-19 conditions. Expenses increased by 23.4% due to higher food and supply costs to serve the increased participation levels as many students returned to the classes in within district facilities during the school year.

Financial Analysis of the District's Funds

As previously noted, the Iowa City Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental fund highlights: The financial performance of the District as a whole is reflected in its governmental funds as well. As the District completed the year, its governmental funds reported combined fund balances of \$32,368,839 which was a decrease of \$11,240,096 from last year's ending fund balances of \$43,608,935. The primary reason for the net decrease in combined fund balances in fiscal year 2022 is the use of \$14 million of general obligation bond funds from prior year bond sales for construction projects of the facility master plan as detailed below.

- The District's General Fund's fund balance decreased from \$15,890,150 in fiscal year 2021 to \$10,063,054 in fiscal year 2022. This is the product of many factors. The primary factor resulting in the General Fund's decreased fund balance for the year ending June 30, 2022 was due to increased staffing to accommodate student instructional and behavioral needs following the pandemic.
- The GO Bond Fund was added in fiscal year 2018 to account for the general obligation bonds sold in December 2017, 2019 and 2020 and the construction expenditures of the District's ten year facility master plan. The fund balance decreased from \$20,497,171 in fiscal year 2021 to \$6,944,732 in fiscal year 2022. The district expended over \$14 million of bond proceeds in capital outlay during the year ending June 30, 2022.
- The Capital Projects Fund balance increased from a balance of \$1,409,807 in fiscal year 2021 to \$3,709,901 in fiscal year 2022. This increase is primarily due to an increase in sales tax revenues received from the State of Iowa. These funds will be utilized for technology and construction projects in the next fiscal period.
- The Physical Plant and Equipment Levy Fund balance increased from a balance of \$2,805,211 in fiscal year 2021 to \$9,386,559 in fiscal year 2022. This increase is primarily due to the district budgeting funds for future facility projects and land acquisition in the ten year facility plan.
- The Debt Service Fund balance increased from a balance of \$714,252 in fiscal year 2021 to \$972,107 in fiscal year 2022. This increase is primarily because property tax revenues collected were higher than expected due to valuations and timing changes from other legislative bodies.

Proprietary fund highlights: The School Nutrition Fund's net position increased from \$1,367,380 as of June 30, 2021 to \$4,253,401 as of June 30, 2022. The increase was primarily due to the higher reimbursement rates from federal entities and controlling the supply and staffing costs to serve meals.

The Internal Service Fund for the District's self-insured health insurance fund and dental insurance funds increased net position from \$18,386,175 in 2021 to \$20,033,624 in 2022. This increase was due to expected health and dental claims less than the premiums collected during the year.

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Budgetary Highlights

In accordance with the Code of Iowa, the Board of Education annually adopts a certified budget following required public notice and hearing for all funds, except its internal service, private-purpose trust and agency funds. The legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's certified budget is prepared on the GAAP basis. Over the course of the year, the District amended its annual (operating) budget one time to reflect additional revenue and expenditures associated with programs and activities added or changed during the fiscal year. A schedule showing the original certified and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

Legal budgetary highlights: The District's total actual revenues were \$16,334,989 more than the total budgeted revenues, a variance of 6.7% from the final budget. This increase was primarily due to ESSER and ARP funds provided by federal legislation enacted from March 2020 to March 2021 and the federal lunch and breakfast revenues of the Enterprise Fund.

Total expenditures were less than the budgeted amount by \$16,947,167. It is the District's practice to budget expenditures at the maximum authorized spending authority as defined by the Code of Iowa. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed the actual expenditures during the year. In addition, the Board of Directors has utilized a resource allocation model to manage the expenditure levels with available resources and to address the educational needs of the district's student enrollment. Increased expenditures in the instruction and support services categories were related to the additional expenditures that were reimbursed by the ESSER and ARP funds. The increased expenditures in the other expenditure category were due to construction expenditures as planned in the District's facility master plan and funded by general obligation bonds in 2017 to 2020.

Capital Asset and Debt Administration

Capital assets: As of June 30, 2022, the District had invested \$482 million, net of accumulated depreciation, in the broad range of capital assets, including land, buildings, athletic facilities, computers and equipment and right-to-use leased equipment. (See Figure A-6) This amount represents a net increase of \$3.2 million from last year. More detailed information about capital assets is available in Note 5 to the financial statements. Depreciation expense for the year was \$13,654,807.

The original costs of the District's capital assets were approximately \$633.9 million. Governmental funds account for approximately \$632 million with the remainder in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the building and construction in progress categories. The building category increased primarily from the completion of renovations and improvements at Shimek, Horn, Borlaug and Lemme Elementary Schools and additions at two high schools. The construction-in-progress category decreased due to the completion of several projects that are now classified in the building category. The remaining construction projects are expected to be completed in the next two fiscal periods.

Figure A-6
Capital Assets, Net of Depreciation

	Governmental Activities		Business-Type Activities		Total School District		Total Change
	2022	2021	2022	2021	2022	2021	2022-2021
Land	\$ 15,538,273	\$ 15,552,273	\$ -	\$ -	\$ 15,538,273	\$ 15,552,273	\$ (14,000)
Construction-in-progress	20,994,643	80,540,792	-	77,600	20,994,643	80,618,392	(59,623,749)
Buildings	413,134,817	350,537,411	-	-	413,134,817	350,537,411	62,597,406
Improvements other than buildings	28,584,223	27,961,840	-	-	28,584,223	27,961,840	622,383
Furniture and equipment	3,240,697	3,981,638	461,153	400,429	3,701,850	4,382,067	(680,217)
Right-to-use leased equipment	249,987	-	-	-	249,987	-	249,987
Total	\$ 481,742,640	\$ 478,573,954	\$ 461,153	\$ 478,029	\$ 482,203,793	\$ 479,051,983	\$ 3,151,810

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Long-term debt: As of June 30, 2022, the District had \$246.6 million in general obligation and other long-term debt outstanding. This represents a decrease of approximately \$18.3 million from last year. The decrease in the early retirement obligation is due to fewer employees accepting the District's early retirement incentive in 2022 compared to 2021 as part of management's plan to reduce and control General Fund expenditures from the prior year. The decrease in general obligation bonds and related premiums was related to the repayment and amortization of the debt for previously issued bonds. Sales tax revenue bonds and capital loan notes decreased by \$8,225,000 and \$880,000, respectively from the previously stated maturities.

(See Figure A-7) More detailed information about the District's long-term liabilities are available in Note 6 to the financial statements.

Figure A-7
Outstanding Long-Term Obligations

	Total School District		Total Change
	2022	2021	2022-2021
General obligation bonds	\$ 164,020,000	\$ 170,605,000	\$ (6,585,000)
Premium on general obligation bonds	9,879,653	11,112,043	(1,232,390)
Capital loan notes	2,765,000	3,645,000	(880,000)
Sales tax revenue bonds	66,205,000	74,430,000	(8,225,000)
Premium on sales tax revenue bonds	1,286,711	1,671,343	(384,632)
Lease liability	250,317	-	250,317
Early retirement	1,205,391	2,375,381	(1,169,990)
Compensated absences	975,795	1,029,914	(54,119)
Totals	\$ 246,587,867	\$ 264,868,681	\$ (18,280,814)

Factors Bearing on the District's Future

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District received allowable growth of two percent, zero percent and two percent for fiscal year 2011, 2012 and 2013, respectively, supplemental state aid (formerly allowable growth) of two percent and a one-time two percent supplemental state aid allocation for fiscal year 2014 and supplemental state aid at four percent, 1.25 percent, 2.25 percent, 1.11 percent, one percent, 2.06, 2.3 percent and 2.4 percent for fiscal years 2015 through 2022, respectively. For the fiscal year 2023, the District received supplemental state aid of 2.5 percent. The Iowa Legislature will take up the issue to determine the level of the supplemental state aid for FY2024 and beyond starting in their January 2023 session. As the District's General Fund budget is comprised of approximately 85 percent salary and benefits, wage and salary adjustments realized through the negotiations process will have a significant impact on future budget spending decisions. In February 2017, significant legislative changes to Chapter 20 of the Code of Iowa as it relates to formal negotiations were enacted and the District continues to monitor and review the flexibility for control of these expenditures.

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- The Iowa school funding formula is highly dependent upon student enrollment. The District experienced enrollment growth of 2112 students from 2013 to 2020 (in total). The enrollment decline of 288 students in fiscal year ending 2021 impacted the District's budget during the fiscal year ending 2022. The significant enrollment increases in prior years required additional staff and materials for educational programs and the demand for additional space to the existing facilities and construction of new facilities. New facilities as well as additions and renovations to existing facilities were included in the District's Facility Master Plan and have also increase expenditures related to utilities, custodial, maintenance and support staff. However, due to the ongoing COVID-19 coronavirus pandemic that began in February 2020, the District experienced a recovery of 111 students in October 2021 that impacted the District's budget for fiscal year 2023. The October 2022 enrollment increased by 45 students that will be included in the computation of fiscal year 2024 resources. The District has engaged a demographer to assist with projecting future enrollment trends however preliminary data indicates enrollment of 50-100 students in the next two years followed by several years of zero growth in enrollment. This trend for a flattened enrollment growth pattern will require the district to implement budgetary adjustments in future fiscal periods.
- The District has been awarded approximately \$41.5 million by the federal government as part of the Elementary and Secondary School Emergency Relief Fund (ESSER) legislation to meet the challenges for schools experienced from the COVID-19 pandemic. During the year ended June 30, 2022, the District has received nearly \$14.8 million for expenditures that supplement and supplant district programs. As part of the ESSER plans, the District increased staffing during the fiscal year ending June 30, 2022 to provide additional services and will need to modify its staffing levels over the next two fiscal periods to return to pre-pandemic staffing levels.
- In September 2017, District voters approved the issuance of \$191,525,000 of General Obligation Bonds to fund identified construction and renovation projects of the Facility Master Plan. The District sold the approved bonds in three installments: \$58,955,000 in November 2017, \$66,645,000 in January 2019 and \$65,925,000 in February 2020. These bonds have funded multiple construction and remodeling projects with final completion during 2022. The bonds will be repaid from property taxes collected from 2018 to 2038.
- The District sold Capital Loan Notes of \$9,435,000 in December 2014. The proceeds from the sale of these Notes funded various construction projects in the Facility Master Plan and will be repaid from the existing Physical Plant and Equipment Levy (PPEL) through 2025. In addition, the District sold School Infrastructure Sales, Services and Use Tax Revenue Bonds of approximately \$60 million in September 2015, \$10 million in December 2016, \$11.2 million in January 2017, \$21.2 million in August 2017 and \$9.1 million in June 2018. These revenue bond funds have been used for projects at Coralville Central Elementary, Lucas Elementary School, City High School, construction of Liberty High School and Hoover (East) Elementary School and major renovation projects at Lucas Elementary School and West High School. The Revenue Bonds will be repaid from sales tax revenues collected through 2029.
- The enrollment increases experienced by the district have included significant additional student needs for students requiring English language learning programs. The District has continued to hire additional staff with the appropriate certifications to serve these students. The District expended approximately \$2,600,000 more during each of the years ended June 30, 2022 and 2021 than direct categorical program revenue. The District will continue to request additional modified supplemental spending authority for this Limited English Program deficit from the School Budget Review Committee to support these expenditures in future periods.

Iowa City Community School District

Management's Discussion and Analysis (unaudited) For Fiscal Year Ended June 30, 2022

- The District provides health insurance to its employees utilizing a self-funded insurance plan with specific and aggregate reinsurance coverage as required by the State of Iowa. The District's plan is subject to various insurance coverage and reporting provisions of the Patient Protection and Affordable Care Act (ACA) and the District believes the plan complies with all coverage and reporting requirements of the ACA. The transitional reinsurance fees included in the ACA rules are being paid from the current premium levels of the self-funded plan. The health care industry continues to operate in an extremely uncertain and inflationary cost environment and the District will continue to monitor the potential impact of any required changes on the plan, premium contributions for the district and the impact on its employees.
- The ten year Facility Master Plan, originally approved in December 2013 and subsequently updated in April 2015 and February 2017, includes nearly \$192 million of construction and renovation projects. On September 12, 2017, taxpayers within the District approved a bond referendum authorizing \$191,925,000 of general obligation bonds to fund the projects in the Facility Master Plan. As the District completed the in 2022, the District initiated a facility plan for the next ten years. On November 2, 2021, the voters approved the extension of the district's Physical Plant and Equipment Levy voter approved levy from 2026 to 2035. This extension will provide funding opportunities for the district's life cycle programs and facility construction in the facility plans.
- State legislators have approved the extension of SAVE for 20 years to 2050. On November 2, 2021, the voters approved the district's Revenue Purpose Statement that will guide the eligible expenditures from 2029 to 2050. The SAVE program would provide the District with additional borrowing capacity estimated to be as much as \$145 million for facility improvement projects. The District completed its initial borrowing of \$65.8 million in August 2022 to begin work on these projects. The Board of Education has the option and could choose to use the annual SAVE revenue stream to pay down general obligation bond debt rather than spending on additional facility related projects.
- The District has started the transition from a seventh and eighth grade junior high school instructional model to a sixth through eighth grade middle school model with an anticipated implementation in August 2024. Construction for an estimated \$30 million has begun on additions at all three district junior high school buildings to accommodate the additional students and programs. Development of the instructional teams and appropriate staffing has started, however, the budgetary impact is dependent on the final instructional model and programs.

Contacting the District's Financial Management

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Leslie Finger, Chief Financial Officer and Treasurer, Iowa City Community School District, 1725 North Dodge Street, Iowa City, Iowa 52245.

Iowa City Community School District

**Statement of Net Position
June 30, 2022**

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash, cash equivalents, and investments	\$ 64,804,525	\$ 5,154,666	\$ 69,959,191
Restricted cash	2,991,866	-	2,991,866
Receivables:			
Property tax:			
Current year	335,981	-	335,981
Succeeding year	105,515,933	-	105,515,933
Income surtax	7,824,520	-	7,824,520
Sales taxes	2,400,991	-	2,400,991
Other	317,278	-	317,278
Due from other governments	8,929,977	73,564	9,003,541
Internal balances	(1,162,104)	1,162,104	-
Inventories	-	152,561	152,561
Prepaid expenses	1,870,633	-	1,870,633
Total current assets	193,829,600	6,542,895	200,372,495
Noncurrent assets:			
Capital assets:			
Nondepreciable:			
Land	15,538,273	-	15,538,273
Construction-in-progress	20,994,643	-	20,994,643
Depreciable capital assets, net of accumulated depreciation	445,209,724	461,153	445,670,877
Total noncurrent assets	481,742,640	461,153	482,203,793
Total assets	675,572,240	7,004,048	682,576,288
Deferred Outflows of Resources			
Pension related amounts	16,806,673	342,992	17,149,665
Other post employment benefit related amounts	876,045	-	876,045
Total deferred outflows of resources	17,682,718	342,992	18,025,710

See notes to basic financial statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	\$ 5,889,688	\$ 10,477	\$ 5,900,165
Salaries and benefits payable	19,310,956	24,538	19,335,494
Claims payable	1,515,321	-	1,515,321
Accrued interest payable	681,393	-	681,393
Unearned revenues	218,705	199,352	418,057
General obligation bonds	7,205,000	-	7,205,000
Capital loan notes	900,000	-	900,000
Revenue bonds	8,525,000	-	8,525,000
Lease liability	45,176	-	45,176
Early retirement	1,205,391	-	1,205,391
Compensated absences	975,795	-	975,795
Total current liabilities	46,472,425	234,367	46,706,792
Noncurrent liabilities:			
Lease liability	205,141	-	205,141
Total other postemployment benefit liability	12,187,000	-	12,187,000
Net pension liability	2,013,265	41,087	2,054,352
General obligation bonds, net of unamortized premium and discounts	166,694,653	-	166,694,653
Capital loan notes	1,865,000	-	1,865,000
Revenue bonds, net of unamortized premium	58,966,711	-	58,966,711
Total noncurrent liabilities	241,931,770	41,087	241,972,857
Total liabilities	288,404,195	275,454	288,679,649
Deferred Inflows of Resources			
Property tax	105,515,933	-	105,515,933
Income surtax	7,824,520	-	7,824,520
Pension related amounts	74,877,335	1,569,208	76,446,543
Other post employment benefit related amounts	1,372,345	-	1,372,345
Total deferred inflows of resources	189,590,133	1,569,208	191,159,341
Net Position			
Net investment in capital assets	242,903,354	461,153	243,364,507
Restricted for:			
Debt service	290,714	-	290,714
Capital projects	10,668,495	-	10,668,495
Federal and state programs	2,967,523	-	2,967,523
Student activities	66,912	-	66,912
Unrestricted	(41,636,368)	5,041,225	(36,595,143)
Total net position	\$ 215,260,630	\$ 5,502,378	\$ 220,763,008

Iowa City Community School District

**Statement of Activities
Year Ended June 30, 2022**

Functions/Programs	Expenses	Program Revenues		
		Charges for Services and Sales	Operating Grants, and Contributions	Capital Grants, and Contributions
Governmental Activities				
Instruction:				
Regular instruction	\$ 89,367,951	\$ 389,492	\$ 23,094,289	\$ -
Special instruction	48,888,550	2,446,238	11,924,127	-
Other instruction	6,956,809	-	178,348	-
	145,213,310	2,835,730	35,196,764	-
Support services:				
Student services	6,809,817	-	-	-
Instructional services	11,422,676	-	-	-
Administration services	19,368,333	-	-	-
Operation and maintenance	21,007,817	218,868	483,273	920,352
Transportation services	5,706,147	93,995	271,304	-
Other support services, AEA flowthrough	6,897,343	-	6,897,343	-
	71,212,133	312,863	7,651,920	920,352
Noninstructional programs	564,895	-	-	-
Other:				
Long-term debt interest	7,163,791	-	-	-
Depreciation (unallocated), excluding direct depreciation	35,061	-	-	-
	7,198,852	-	-	-
Total governmental activities	224,189,190	3,148,593	42,848,684	920,352
Business-type activities , nutritional services	7,122,873	908,370	9,188,778	-
Total primary government	\$ 231,312,063	\$ 4,056,963	\$ 52,037,462	\$ 920,352

General revenues:

Property taxes levied for:

 General purposes

 Debt service

 Capital outlay

Local option sales tax

Unrestricted state grants

Unrestricted investment earnings

Gain on disposal of fixed assets

Other

Total general revenues and transfers

Changes in net position

Net position, beginning of year

Net position, end of year

See notes to basic financial statements.

Net (Expense) Revenue and Changes in Net Position		
Governmental Activities	Business-Type Activities	Total
\$ (65,884,170)	\$ -	\$ (65,884,170)
(34,518,185)	-	(34,518,185)
(6,778,461)	-	(6,778,461)
(107,180,816)	-	(107,180,816)
(6,809,817)	-	(6,809,817)
(11,422,676)	-	(11,422,676)
(19,368,333)	-	(19,368,333)
(19,385,324)	-	(19,385,324)
(5,340,848)	-	(5,340,848)
-	-	-
(62,326,998)	-	(62,326,998)
(564,895)	-	(564,895)
(7,163,791)	-	(7,163,791)
(35,061)	-	(35,061)
(7,198,852)	-	(7,198,852)
(177,271,561)	-	(177,271,561)
-	2,974,275	2,974,275
(177,271,561)	2,974,275	(174,297,286)
85,177,891	-	85,177,891
12,921,108	-	12,921,108
12,499,711	-	12,499,711
17,548,220	-	17,548,220
71,705,543	-	71,705,543
183,078	6,877	189,955
1,079,733	-	1,079,733
3,867,382	-	3,867,382
204,982,666	6,877	204,989,543
27,711,105	2,981,152	30,692,257
187,549,525	2,521,226	190,070,751
\$ 215,260,630	\$ 5,502,378	\$ 220,763,008

Iowa City Community School District

**Balance Sheet—Governmental Funds
June 30, 2022**

	General	Physical Plant and Equipment Levy
Assets		
Cash, cash equivalents, and investments	\$ 21,475,952	\$ 9,862,780
Restricted cash	-	-
Receivables:		
Property tax:		
Current year	234,203	39,784
Succeeding year	74,768,537	12,577,125
Income surtax	7,824,520	-
Sales tax	-	-
Other	223,250	93,988
Due from other governments	7,722,440	-
Due from other funds	177,298	307,925
Prepaid items	1,738,981	62,957
Total assets	\$ 114,165,181	\$ 22,944,559
Liabilities, Deferred Inflows of Resources and Fund Balances		
Liabilities:		
Accounts payable	\$ 1,933,142	\$ 916,677
Salaries and benefits payable	19,286,079	-
Due to other funds	71,144	64,198
Unearned revenue	218,705	-
Total liabilities	21,509,070	980,875
Deferred inflows of resources:		
Unavailable revenue—property tax	74,768,537	12,577,125
Unavailable revenue—income surtax	7,824,520	-
Unavailable revenue—sales tax	-	-
Total deferred inflows of resources	82,593,057	12,577,125
Fund balance:		
Nonspendable	1,738,981	62,957
Restricted	2,967,523	9,323,602
Unassigned	5,356,550	-
Total fund balances	10,063,054	9,386,559
Total liabilities, deferred inflows of resources and fund balances	\$ 114,165,181	\$ 22,944,559

See notes to basic financial statements.

Capital Projects	General Obligation Bonds	Debt Service	Nonmajor Governmental Funds	Total Governmental Funds
\$ - 2,991,866	\$ 9,241,045 -	\$ 930,982 -	\$ 1,742,298 -	\$ 43,253,057 2,991,866
-	-	41,125	20,869	335,981
-	-	12,970,254	5,200,017	105,515,933
-	-	-	-	7,824,520
2,400,991	-	-	-	2,400,991
-	-	-	40	317,278
1,207,537	-	-	-	8,929,977
71,703	-	-	1,700	558,626
68,695	-	-	-	1,870,633
<u>\$ 6,740,792</u>	<u>\$ 9,241,045</u>	<u>\$ 13,942,361</u>	<u>\$ 6,964,924</u>	<u>\$ 173,998,862</u>
\$ 605,023 24,877 - - 629,900	\$ 2,296,139 - 174 - 2,296,313	\$ - - - - -	\$ 136,184 - 336,237 - 472,421	\$ 5,887,165 19,310,956 471,753 218,705 25,888,579
- - 2,400,991 2,400,991	- - - -	12,970,254 - - 12,970,254	5,200,017 - - 5,200,017	105,515,933 7,824,520 2,400,991 115,741,444
68,695 3,641,206 - 3,709,901	- 6,944,732 - 6,944,732	- 972,107 - 972,107	- 1,292,486 - 1,292,486	1,870,633 25,141,656 5,356,550 32,368,839
<u>\$ 6,740,792</u>	<u>\$ 9,241,045</u>	<u>\$ 13,942,361</u>	<u>\$ 6,964,924</u>	<u>\$ 173,998,862</u>

Iowa City Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities June 30, 2022

Total governmental fund balances		\$	32,368,839
Amounts reported for governmental activities in the statement of net position are different because:			
Capital assets, net of accumulated depreciation, used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.			481,742,640
Other long-term assets are not available to pay for current period expenditures and, therefore, are reported as a deferred inflow of resources in the funds.			2,400,991
Internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position:			
Current assets	\$	21,551,468	
Liabilities		(1,517,844)	20,033,624
Internal service funds allocated to business-type activities			(1,248,977)
Accrued interest payable on long-term liabilities is not due and payable in the current period and, therefore, is not reported as a liability in the governmental funds.			(681,393)
Deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:			
Deferred outflows, pension		16,806,673	
Deferred outflows, other post employment benefit		876,045	
Deferred inflows, pension		(74,877,335)	
Deferred inflows, other post employment benefit		(1,372,345)	(58,566,962)
Long-term liabilities are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds:			
Lease liability		(250,317)	
General obligation bonds, current		(7,205,000)	
General obligation bonds, noncurrent		(156,815,000)	
Capital loan notes, current		(900,000)	
Capital loan notes, noncurrent		(1,865,000)	
Sales tax revenue bonds, current		(8,525,000)	
Sales tax revenue bonds, noncurrent		(57,680,000)	
Early retirement, current		(1,205,391)	
Net pension liability		(2,013,265)	
Total other postemployment benefits liability		(12,187,000)	
Compensated absences, current		(975,795)	
Unamortized premium		(11,166,364)	(260,788,132)
Net position of governmental activities		\$	215,260,630

See notes to basic financial statements.

Iowa City Community School District

**Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2022**

	General	Physical Plant and Equipment Levy
Revenues:		
Local sources:		
Local tax	\$ 78,729,610	\$ 12,499,711
Tuition	2,446,238	-
Interest	43,154	12,681
Other	1,717,584	169,599
State sources	89,256,652	258,821
Federal sources	24,567,224	-
Total revenues	196,760,462	12,940,812
Expenditures:		
Current:		
Instruction:		
Regular instruction	81,448,831	-
Special instruction	51,453,176	-
Other instruction	2,535,755	-
	135,437,762	-
Support services:		
Student services	7,477,882	-
Instructional services	12,372,274	-
Administration services	18,469,379	-
Operation and maintenance	17,595,649	289,726
Transportation services	3,905,418	1,172,168
Other support services, AEA flowthrough	6,897,343	-
	66,717,945	1,461,894
Noninstructional programs	31,851	-
Capital outlay	-	7,166,708
Debt service:		
Principal	-	-
Interest and fiscal charges	-	-
	-	-
Total expenditures	202,187,558	8,628,602
Excess (deficiency) of revenues over expenditures	(5,427,096)	4,312,210
Other financing sources (uses):		
Transfers in	-	2,000,000
Transfers out	(400,000)	(955,862)
Proceeds from sale of capital assets	-	1,225,000
Lease financing	-	-
Total other financing sources (uses)	(400,000)	2,269,138
Net change in fund balances	(5,827,096)	6,581,348
Fund balances, beginning of year	15,890,150	2,805,211
Fund balances, end of year	\$ 10,063,054	\$ 9,386,559

See notes to basic financial statements.

Capital Projects	General Obligation Bonds	Debt Service	Nonmajor Governmental Funds	Total Governmental Funds
\$ -	\$ -	\$ 12,921,108	\$ 6,448,281	\$ 110,598,710
-	-	-	-	2,446,238
17,654	47,832	4,037	2,006	127,364
337,231	527,619	-	2,925,901	5,677,934
17,240,332	-	267,547	127,565	107,150,917
-	-	-	-	24,567,224
17,595,217	575,451	13,192,692	9,503,753	250,568,387
-	-	-	3,566,267	85,015,098
-	-	-	-	51,453,176
-	-	-	3,107,938	5,643,693
-	-	-	6,674,205	142,111,967
-	-	-	-	7,477,882
-	-	-	-	12,372,274
-	-	10,500	1,020,547	19,500,426
-	-	-	2,572,892	20,458,267
-	-	-	635,967	5,713,553
-	-	-	-	6,897,343
-	-	10,500	4,229,406	72,419,745
583,005	-	-	-	614,856
2,317,037	14,127,890	-	-	23,611,635
12,828	-	15,690,000	-	15,702,828
1,470	-	8,834,127	-	8,835,597
14,298	-	24,524,127	-	24,538,425
2,914,340	14,127,890	24,534,627	10,903,611	263,296,628
14,680,877	(13,552,439)	(11,341,935)	(1,399,858)	(12,728,241)
-	-	11,599,790	400,000	13,999,790
(12,643,928)	-	-	-	(13,999,790)
-	-	-	-	1,225,000
263,145	-	-	-	263,145
(12,380,783)	-	11,599,790	400,000	1,488,145
2,300,094	(13,552,439)	257,855	(999,858)	(11,240,096)
1,409,807	20,497,171	714,252	2,292,344	43,608,935
\$ 3,709,901	\$ 6,944,732	\$ 972,107	\$ 1,292,486	\$ 32,368,839

Iowa City Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2022

Net change in fund balances, total governmental funds	\$	(11,240,096)
Amounts reported for governmental activities in the statement of activities are different because:		
Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, for governmental activities, those costs are shown in the statement of net position and allocated over their estimated useful lives as depreciation expense in the statement of activities. This is the amount by which capital outlay exceeds depreciation expense in the period:		
Capital outlay	\$	16,893,963
Depreciation expense		(13,580,010)
Proceeds on sale of capital assets		(1,225,000)
Gain on sale of capital assets		1,079,733
		3,168,686
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues.		307,888
Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities. Also, governmental funds report the effect of premiums when debt is first issued, whereas these amounts are deferred and amortized in the statement of activities. in the statement of net position and does not affect the statement of activities.		
Lease financing		(263,145)
Repayment of lease financing		12,828
Repayment of long-term debt		15,690,000
		15,439,683
Amortization of bond premium		1,617,022
Interest on long-term debt in the statement of activities differs from the amount reported in governmental funds because interest is recorded as an expenditure in the funds when due. In the statement of activities, however, interest expense is recognized as the interest accrues, regardless of when it is due.		54,784
Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds:		
Other postemployment benefits expense		(715,934)
Pension expense		16,302,645
Change in early retirement		1,169,990
Change in compensated absences		54,119
		16,810,820
Internal service funds are used by management to charge the costs of certain activities to individual funds. The change in net position in the internal service fund is reported with governmental activities in the statement of activities.		1,647,449
Change in Internal Service Fund allocation to business-type activities.		(95,131)
Change in net position of governmental activities	\$	27,711,105

See notes to basic financial statements.

Iowa City Community School District

Statement of Net Position Proprietary Funds June 30, 2022

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Assets		
Current assets:		
Cash, cash equivalents, and investments	\$ 5,154,666	\$ 21,551,468
Due from other governments	73,564	-
Inventories	152,561	-
Total current assets	5,380,791	21,551,468
Noncurrent assets, capital assets, net of accumulated depreciation	461,153	-
Total assets	5,841,944	21,551,468
Deferred outflows of resources , pension related amounts	342,992	-
Total assets and deferred outflows of resources	\$ 6,184,936	\$ 21,551,468
Liabilities		
Current liabilities:		
Accounts payable	\$ 10,477	\$ 2,523
Salaries and benefits payable	24,538	-
Due to other funds	86,873	-
Claims payable	-	1,515,321
Unearned revenue	199,352	-
Total current liabilities	321,240	1,517,844
Noncurrent liabilities, net pension liability	41,087	-
Total liabilities	362,327	1,517,844
Deferred inflows of resources , pension related amounts	1,569,208	-
Net position		
Investment in capital assets	461,153	-
Unrestricted	3,792,248	20,033,624
Total net position	4,253,401	20,033,624
Total liabilities, deferred inflows of resources and net position	\$ 6,184,936	\$ 21,551,468
Total enterprise funds net position	\$ 4,253,401	
Amounts reported for business-type activities in the statement of net position are different because:		
Internal service funds are used by management to charge the costs of certain services to individual funds. Certain assets and liabilities of the internal service funds are included in business-type activities in the statement of net position.	1,248,977	
Net position of business-type activities	\$ 5,502,378	

See notes to basic financial statements.

Iowa City Community School District

**Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2022**

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Operating revenue:		
Charges for services:		
Food sales	\$ 908,370	\$ -
Internal service charges	-	16,998,063
Employee premiums	-	3,279,427
Total operating revenue	908,370	20,277,490
Operating expenses:		
Food consumed	3,459,776	-
Salaries and benefits	2,791,452	-
Supplies, services and repairs	492,501	-
Depreciation	60,325	-
Food and meal delivery:		
Salaries and benefits	388,857	-
Truck expenses	10,651	-
Depreciation	14,442	-
Claims, losses and administrative fees	-	18,615,243
Other	-	70,512
Total operating expenses	7,218,004	18,685,755
Operating income (loss)	(6,309,634)	1,591,735
Nonoperating revenues:		
Federal appropriations	8,460,094	-
State appropriations	63,097	-
Federal food commodities	665,587	-
Interest income	6,877	55,714
Total nonoperating revenues	9,195,655	55,714
Changes in net position	2,886,021	1,647,449
Net position, beginning of year	1,367,380	18,386,175
Net position, end of year	\$ 4,253,401	\$ 20,033,624

See notes to basic financial statements.

Iowa City Community School District

**Reconciliation of Changes in Net Position of Enterprise Fund to the
Statement of Activities
Year Ended June 30, 2022**

Net changes in net position in the enterprise fund	\$ 2,886,021
Amounts reported for proprietary activities in the statement of activities are different because:	
Internal service funds are used by management to charge the costs of various activities internally to individual funds. The net expense of certain activities of internal service funds is reported with business-type activities.	95,131
Change in net position of business-type activities	\$ 2,981,152

See notes to basic financial statements.

Iowa City Community School District

Statement of Cash Flows Proprietary Funds Year Ended June 30, 2022

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Cash flows from operating activities:		
Cash received from sales of breakfasts and lunches	\$ 890,581	\$ -
Cash received from charges for service	-	16,998,063
Cash received from employees for benefits	-	3,279,427
Cash payments to suppliers for goods and services	(3,370,941)	(70,512)
Cash payments to employees for services	(2,510,092)	-
Cash payments for employee benefits	(966,691)	-
Cash payments for claims, losses and administrative fees	-	(18,755,181)
Net cash provided by (used in) operating activities	(5,957,143)	1,451,797
Cash flows from noncapital financing activities:		
Nonoperating grants received	8,820,940	-
Proceeds from interfund accounts	50,813	23
Net cash provided by noncapital financing activities	8,871,753	23
Cash flows from capital and related financing activities, acquisition of capital assets	(57,921)	-
Cash flows from investing activities, interest on cash and cash equivalents	6,877	55,714
Net increase in cash and cash equivalents	2,863,566	1,507,534
Cash and cash equivalents:		
Beginning	2,291,100	20,043,934
Ending	\$ 5,154,666	\$ 21,551,468
Operating income (loss)	\$ (6,309,634)	\$ 1,591,735
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	74,797	-
Federal food commodities consumed	665,587	-
Change in assets, deferred outflows, liabilities and deferred inflows:		
Increase in purchased inventory	(45,363)	-
Decrease increase in accounts payable	(28,267)	-
Decrease in salaries and benefits payable	(4,862)	-
Decrease in unearned revenue	(17,789)	-
Decrease in net pension liability	(2,008,108)	-
Decrease in deferred outflows of resources	205,129	-
Increase in deferred inflows of resources	1,511,367	-
Decrease in claims payable	-	(139,938)
Total adjustments	352,491	(139,938)
Net cash provided by (used in) operating activities	\$ (5,957,143)	\$ 1,451,797
Noncash item, noncapital financing activities, food commodities donated to the District from the U.S. Department of Agriculture	\$ 665,587	\$ -

See notes to basic financial statements.

Iowa City Community School District

Statement of Fiduciary Net Position

Fiduciary Funds

June 30, 2022

	Private Purpose Trust Fund
	Winbigler Estate Trust Fund
Assets	
Cash and cash equivalents	\$ 71,576
Net Position	
Restricted for students in need of financial assistance	\$ 71,576

See notes to basic financial statements.

Iowa City Community School District

Statement of Changes in Fiduciary Net Position
Fiduciary Funds
Year Ended June 30, 2022

	Private Purpose Trust Fund <u>Winbigler Estate</u> Trust Fund
Net position, beginning of year	<u>\$ 71,576</u>
Net position, end of year	<u><u>\$ 71,576</u></u>

See notes to basic financial statements.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies

Nature of operations: The Iowa City Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades pre-school through twelve. The geographic area served includes the cities of Iowa City, Coralville, University Heights, Hills and North Liberty and the surrounding predominately agricultural territory in central Johnson County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

Reporting entity: For financial reporting purposes, the Iowa City Community School District has included all funds, organizations, agencies, boards, commissions and authorities for which the District is financially accountable. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board (GASB) has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on the organization, or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. In addition, the GASB issued Statement No. 39, which sets forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the Organization and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District. Based on these criteria, the District is considered a primary government and there are no other organizations or agencies whose financial statements should be combined and presented with these basic financial statements.

The District participates in several jointly governed organizations for which the District is not financially accountable or that the nature and significance of the relationships with the District are such that exclusion does not cause the District's financial statements to be misleading or incomplete. Among those organizations are the Johnson County Conference Board, Iowa City Conference Board, Johnson County Compensation Board and the Iowa City Assessors Examining Board.

Significant accounting policies:

Government-wide financial statements: The statement of net position and the statement of activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. However, interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The statement of net position presents the District's nonfiduciary assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual funds are reported as separate columns in the fund financial statements. Nonmajor governmental funds and nonmajor enterprise funds are aggregated and presented in a single column.

Fund accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, deferred inflows/outflows of resources, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

Governmental Fund Types: Governmental fund types are those funds through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets, liabilities and deferred inflows/outflows of resources is reported as fund balance. The following are the District's major governmental funds:

General Fund: is the general operating fund of the District. All general tax revenues and other receipts that are not allocated by law or contractual agreement to some other fund are accounted for in this fund. The general operating expenses of the District, including instructional, support and other costs, are paid from the fund.

Physical Plant and Equipment Levy Fund: a capital projects fund, accounts for the property taxes levied and collected by the District to be used for the purchase and improvement of grounds; purchase, construction and remodeling of buildings; and major equipment purchases.

Capital Projects Fund: a capital projects fund, is used to account for all resources restricted for the acquisition and construction of major capital facilities as authorized by the voters in the District. Revenues of the Fund primarily consist of state-wide sales taxes. This fund is considered major for public interest purposes.

General Obligation Bonds Fund: a capital projects fund, used to account for all resources restricted for the acquisition and construction of major capital facilities as authorized by voters in the District. Revenue of the fund consists of sale of general obligation bonds. This fund is considered major for public interest purposes.

Debt Service Fund: accounts for property taxes levied and collected for the payment of general long-term debt principal, interest and related costs. This fund is considered major for public interest purposes.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Accounts for the revenue sources that are legally restricted to expenditures for specific purposes.

Management Fund: Accounts for property taxes levied and collected which are restricted for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

Student Activity Fund: Accounts for money held by the District which is restricted on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular or extracurricular activities of the District.

Proprietary Fund Types: Proprietary fund types are used to account for the District's ongoing operations and activities which are similar to those often found in the private sector. They are accounted for on the flow of economic resources measurement focus and use the accrual basis of accounting. Under this method, revenues are recorded when earned and expenses are recorded at the time the liabilities are incurred.

Enterprise Funds: Enterprise funds are used to account for those operations for which a fee is charged to external users for goods and/or services. The following enterprise fund of the District is considered nonmajor.

School Nutrition Fund: Accounts for the food service operations of the District.

Internal Service Fund: The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance and dental plan for District employees and retirees.

The District also reports the following fiduciary fund type:

Private Purpose Trust Fund: This fund is utilized to account for assets held by the District in a fiduciary capacity according to the terms of the donor's request of granting scholarships at City High School.

The government-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the "economic resources measurement focus" and accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax and income surtax is recognized as revenue in the year for which it is levied and budgeted for. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days after year-end.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Property tax when levied and budgeted for, other taxes and intergovernmental revenues when eligibility requirements have been met (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be measurable and are recognized as revenue, if available. All other revenue items are recognized only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, early retirement payments, other postemployment benefits, pension contributions and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital financing and capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general resources. When program expenses are incurred and there are both restricted and unrestricted net position available to finance the program it is the District's policy to first apply cost-reimbursement grant resources to such programs then the general revenues.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's proprietary funds are charges for services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses, depreciation on capital assets and claims. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Cash, cash equivalents and investments: The cash balances of most District funds are nonpooled and separately invested. Investments in the Iowa Schools Joint Investment Trust and nonnegotiable certificates of deposit are stated at amortized cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the date of purchase have a maturity date of no more than three months.

Property tax and income surtax receivable: Property tax receivable is recognized on the levy or lien date, which is the date the tax asking is certified by the Board of Education.

Current year property tax receivable represents unpaid taxes related to April 2021 levy certification. Property taxes become due and collectible in September and March of the following fiscal year with a 1½% per month penalty for delinquent payments. This tax levy is based on January 1, 2020 assessed property valuations and is revenue for fiscal year ended June 30, 2022.

The succeeding year property tax receivable represents taxes certified by the Board of Education in April 2022. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. The tax asking represents a lien which is effective on the first day of that calendar year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2023, the year for which it is levied and budgeted for.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The income surtax receivable represents the fiscal year 2022 levy which will be collected by the District in fiscal year 2023. Although the income surtax receivable has been recorded as of June 30, 2022, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2023, the year for which it is levied and budgeted for.

Due from other governments: Due from other governments represent amounts due from the federal government, state of Iowa, other school districts, and other various grants, reimbursements and shared revenues.

	General	Capital Projects	Nonmajor Enterprise
Due from other governments:			
Federal	\$ 6,296,753	\$ -	\$ 53,799
State	319,866	-	19,765
Local option sales tax	-	1,207,537	-
Other	1,105,821	-	-
	<u>\$ 7,722,440</u>	<u>\$ 1,207,537</u>	<u>\$ 73,564</u>

Prepaid items: Prepaid items consist primarily of insurance costs paid for the succeeding year and are recorded as prepaid expenses in both government-wide and fund financial statements on the consumption method.

Inventories: Inventories of the enterprise fund consist of food. The inventories are valued on a first-in, first-out basis, with purchased inventory valued at the lower of cost or market and government-contributed commodities valued at the acquisition value as of the date received. Unused commodities at balance sheet date are reported as inventory.

Capital assets: Capital assets, which include land, construction-in-progress, buildings, improvements, furniture, equipment and vehicles, are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position and the proprietary fund statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at estimated acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of one year.

Description:	Threshold
Buildings and improvements other than buildings	\$ 2,500
Right-to-use leased equipment	2,500
Furniture and equipment:	
School Nutrition Fund equipment	500
Other furniture and equipment	2,500
Vehicles	2,500

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

	Estimated Lives
Description:	
Buildings	50 years
Improvements other than buildings	20 years
Right-to-use leased equipment	5 years
Furniture and equipment:	
School Nutrition Fund equipment	12 years
Other furniture and equipment	5 years
Vehicles:	
School Nutrition Fund vehicles	5 years
Other vehicles	7 years

The District's collection of library books and other similar assets are not capitalized. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

Lease asset: The District is the lessee for a noncancellable lease of equipment. The District has recognized an intangible right-to-use lease asset (lease asset) in the government-wide financial statements.

The lease asset is measured at the start of the lease as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial direct costs. Subsequently, the lease asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to leases include how the District determines the discount rate it uses to discount the expected lease payments to present value, lease term and lease payments. The District uses the interest rate charged by the lessor as the discount rate. When the interest rate is not provided, the District uses its estimated incremental borrowing rate as the discount rate for leases. The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and a purchase option price that the District is reasonable certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with depreciable/amortizable capital assets on the statement of net position.

Deferred outflows of resources: Deferred outflows of resources on the statement of net position represent a consumption of net assets that applies to future periods and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to OPEB expense, pension expense and pension contributions from the District after the measurement date but before the end of the District's reporting period.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Salaries and benefits payable: Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities. Incurred but unpaid payroll expense for all employees as of June 30, 2022, has also been accrued as a liability as of June 30, 2022.

Unearned revenue: Unearned revenue consists of grant awards received but unearned by the fulfillment of an eligibility provision and cash received in the School Nutrition Fund for meals to be provided during fiscal year 2023.

Deferred inflows of resources: Deferred inflows of resources represent an acquisition of net assets that applies to future periods and will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. The governmental funds report unavailable revenues from three sources: property taxes, income surtaxes and intergovernmental revenue. The amounts related to intergovernmental revenue are deferred and recognized as an inflow of resources in the period that the amounts become available. In both the District's government-wide and governmental fund financial statements, property tax revenue and income surtaxes for the succeeding year are reported as a deferred inflow of resources and will become an inflow in the year they are levied and budgeted for. The District's statement of net position also includes unrecognized pension and OPEB related amounts as a deferred inflow.

Compensated absences: District employees with a contract of 200 days or more accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental funds only for employees that have resigned or retired which is considered due. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2022. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund.

Self-insurance: The District is self-insured for health and dental benefits. The District's premiums and claims are accounted for in the Internal Service Fund. Premiums are charged by the Internal Service Fund to operating funds based upon number of employees and selected coverage in each fund.

Lease liability: The District is the lessee for a noncancellable lease of equipment. The District has recognized a lease liability in the government-wide financial statements.

At the commencement of the lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Long-term liabilities: In the governmental fund financial statements, principal and interest on long-term debt, early retirement payments, other postemployment benefits and compensated absences are recognized as liabilities only when payment has matured or becomes due. The face amount of debt issued is reported as other financing sources. Premiums/discounts received on debt issuances are reported as other financing sources/uses. Principal payments and bond issuance costs are reported as debt service expenditures. In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. As of June 30, 2022, the District did not have any long-term obligations related to its business-type activities. Bond premiums and deferred amounts on refunding are amortized over the life of the debt using a method which approximates the effective interest method. Bond issuance costs are recognized as an expense in the period they are incurred.

Pensions: The net pension liability, deferred inflows and outflows of resources related to pensions, pension expense, information about the fiduciary net position of the Iowa Public Employees Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Total OPEB liability: For purposes of measuring the total other postemployment benefit (OPEB) liability, deferred inflows of resources related to OPEB and OPEB expense, information has been based on an actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total of OPEB liability will be paid primarily by the General Fund.

Fund balance: In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable: Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the District's Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts through resolution.

Assigned: Amounts constrained by the District's intent to use them for a specific purpose. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Chief Financial Officer through the budget process.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to pay the expenditure from restricted fund balance and then from less-restrictive classifications—committed, assigned and then unassigned fund balances.

Net position: Net position represents the difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets and also excludes unspent debt proceeds. Unspent debt proceeds for general obligation bonds are \$9,241,045 for governmental activities. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments. No net position was restricted enabling legislation.

The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds.

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as "due to/from other funds" in the fund financial statements. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control: As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules—Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of functional areas as required by state statute for its legally adopted budget.

Note 2. Cash and Investments

Interest rate risk: As a means of limiting its exposure to fair value losses arising from rising interest rates, the District's investment policy requires operating funds to be invested in investments that mature within 397 days or less. When investing other than operating funds, the investments must mature according to the needs of the funds. Operating funds of the District are funds which are reasonably expected to be used during a current budget year or within 15 months of receipt.

Iowa City Community School District

Notes to Basic Financial Statements

Note 2. Cash and Investments (Continued)

Credit risk: The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market and checking accounts at the District's authorized depositories; the Iowa Schools Joint Investment Trust Program; obligations of the United States governments, its agencies and instrumentalities; and certificates of deposit and other evidences of deposit at federally insured Iowa depository institutions. The Iowa Schools Joint Investment Trust is rated AAAm with Standard & Poor's Global Ratings. The District's policy does not further limit the District's investments in relation to credit risk.

The Iowa Schools Joint Investment Trust is valued at an amortized cost based on the criteria set forth in GASB No. 79.

Concentration of credit risk: The District's general investment policy is to apply the prudent-person rule. In making investments, the District shall exercise the care, skill, prudence and diligence under the circumstances that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investment in Iowa Schools Joint Investment Trust is not subject to concentration of credit risk.

Custodial credit risk: For deposits, custodial credit risk is the risk that in the event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party.

It is the District's policy to require that time deposits in excess of FDIC insurable limits be secured by collateral or private insurance to protect public deposits in a single financial institution if it were to default. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized.

As of June 30, 2022, none of the District's deposit bank balance or investments were exposed to custodial credit risk. The District's deposits with financial institutions were entirely covered by federal depository insurance or insured by the state through pooled collateral, state sinking funds and by the state's ability to assess for lost funds. In addition, the District's investments were not insured but were held by the District or its Agent in the District's name.

A reconciliation of cash and investments as shown on the financial statements of the District follows:

Depository accounts	\$ 34,942,273
Certificate of deposits with maturities greater than three months	5,587,205
Iowa Schools Joint Investment Trust	32,493,155
Total cash, cash equivalents and investments	<u>\$ 73,022,633</u>
Government-wide statement of net position—unrestricted	\$ 69,959,191
Government-wide statement of net position—restricted	2,991,866
Statement of fiduciary net position	71,576
Total cash, cash equivalents and investments	<u>\$ 73,022,633</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 3. Interfund Receivables and Payables

Individual interfund receivable and payable balances as of June 30, 2022, are as follows:

Receivable Fund	Payable Fund	Amount
Major Fund, General Fund	Nonmajor Enterprise Fund, School Nutrition Fund	\$ 84,614
Nonmajor Fund, Management Fund	Nonmajor Enterprise Fund, School Nutrition Fund	1,700
Major Fund, Capital Project Fund	Nonmajor Enterprise Fund, School Nutrition Fund	559
Major Fund, Capital Project Fund	Major Fund, General Fund	71,144
Major Fund, Physical Plant and Equipment Levy	Nonmajor Fund, Management Fund	307,925
Major Fund, General Fund	Nonmajor Fund, Student Activity Fund	28,312
Major Fund, General Fund	Major Fund, General Obligation Bond Fund	174
Major Fund, General Fund	Major Fund, Physical Plant and Equipment Levy	64,198
		<u>\$ 558,626</u>

Interfund balances result from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system and (3) payments between funds are made.

Note 4. Interfund Transfers

Detail of interfund transfers for the year ended June 30, 2022, is as follows:

Transfer To	Transfer From	Amount
Nonmajor Governmental Funds:		
Special Revenue Fund, Student Activity	Major Fund, General Fund	\$ 400,000
Major Fund, Debt Service	Major Fund, Capital Projects Fund	10,643,928
Major Fund, Debt Service	Major Fund, Physical Plant and Equipment Levy	955,862
Major Fund, Physical Plant and Equipment Levy	Major Fund, Capital Projects Fund	2,000,000
		<u>\$ 13,999,790</u>

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, (2) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorization and (3) to transfer for debt service fund for principal payments on outstanding debt that was issued for school infrastructure purposes.

Iowa City Community School District

Notes to Basic Financial Statements

Note 5. Capital Assets

Capital assets activity for the year ended June 30, 2022, is as follows:

	Balance, Beginning of Year	Increases	Decreases	Balance, End of Year
Governmental Activities:				
Capital assets not being depreciated:				
Land	\$ 15,552,273	\$ -	\$ 14,000	\$ 15,538,273
Construction-in-progress	80,540,792	8,006,893	67,553,042	20,994,643
Total capital assets not being depreciated	96,093,065	8,006,893	67,567,042	36,532,916
Capital assets being depreciated/amortized:				
Buildings	450,283,246	73,015,411	910,679	522,387,978
Improvements other than buildings	41,022,776	2,347,073	265,374	43,104,475
Furniture, equipment and vehicles	29,205,943	814,483	358,208	29,662,218
Right-to-use leased equipment	-	263,145	-	263,145
Total capital assets being depreciated	520,511,965	76,440,112	1,534,261	595,417,816
Less accumulated depreciation/amortization for:				
Buildings	99,745,835	10,354,985	847,659	109,253,161
Improvements other than buildings	13,060,936	1,656,442	197,126	14,520,252
Furniture, equipment and vehicles	25,224,305	1,555,425	358,209	26,421,521
Right-to-use leased equipment	-	13,158	-	13,158
Total accumulated depreciation/amortization	138,031,076	13,580,010	1,402,994	150,208,092
Total capital assets being depreciated/amortized, net	382,480,889	62,860,102	131,267	445,209,724
Governmental activities capital assets, net	\$ 478,573,954	\$ 70,866,995	\$ 67,698,309	\$ 481,742,640
Business-Type Activities:				
Capital assets not being depreciated, construction-in-progress	\$ 77,600	\$ -	\$ 77,600	\$ -
Capital assets being depreciated, furniture, equipment and vehicles	1,833,582	135,521	-	1,969,103
Less accumulated depreciation for furniture, equipment and vehicles	1,433,153	74,797	-	1,507,950
Total capital assets being depreciated, net	400,429	60,724	-	461,153
Business-type activities capital assets, net	\$ 478,029	\$ 60,724	\$ 77,600	\$ 461,153

Depreciation expense was charged by the District as follows:

Governmental activities:	
Instruction:	
Regular	\$ 9,104,734
Special	1,312,772
Other	1,121,569
Support services:	
Administration services	1,545,802
Operation and maintenance	460,072
	13,544,949
Unallocated depreciation, excluding direct depreciation	35,061
Total governmental activities depreciation expense	\$ 13,580,010
Business-type activities, nutritional services	\$ 74,797

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2022 are summarized as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
General obligation bonds	\$ 170,605,000	\$ -	\$ 6,585,000	\$ 164,020,000	\$ 7,205,000
Sales tax revenue bonds	38,215,000	-	4,100,000	34,115,000	4,300,000
Notes from direct borrowings and direct placements:					
Sales tax revenue bonds	36,215,000	-	4,125,000	32,090,000	4,225,000
Capital loan notes	3,645,000	-	880,000	2,765,000	900,000
Other debt:					
Premium on general obligation bonds	11,112,043	-	1,232,390	9,879,653	-
Premium on sales tax revenue bonds	1,671,343	-	384,632	1,286,711	-
Other liabilities:					
Lease liability	-	263,145	12,828	250,317	45,176
Early retirement	2,375,381	1,205,391	2,375,381	1,205,391	1,205,391
Total other postemployment benefits liability	11,233,609	953,391	-	12,187,000	-
Net pension liability	100,410,162	-	98,396,897	2,013,265	-
Compensated absences	1,029,914	887,974	942,093	975,795	975,795
Total	<u>\$ 376,512,452</u>	<u>\$ 3,309,901</u>	<u>\$ 119,034,221</u>	<u>\$ 260,788,132</u>	<u>\$ 18,856,362</u>
Business-type activities, net pension liability	<u>\$ 2,049,195</u>	<u>\$ -</u>	<u>\$ 2,008,108</u>	<u>\$ 41,087</u>	<u>\$ -</u>

Lease liability: On April 27, 2022, the District entered into a lease agreement for copiers. An initial lease liability was recorded in the amount of \$263,145. The agreement requires monthly payments of \$4,780 over 5 years. During the year ended June 30, 2022, principal and interest paid were \$12,828 and \$1,470, respectively.

Lease liability maturities are as follows:

Year ending June 30,	Lease Liability	
	Principal	Interest
2023	\$ 45,176	\$ 7,250
2024	50,933	6,259
2025	52,712	4,480
2026	54,558	2,634
2027	46,938	743
	<u>\$ 250,317</u>	<u>\$ 21,366</u>

Early retirement: The District provided early retirement incentives for certain employees who met certain qualifications as established by the Board of Education. The cost of the incentives is borne by the District in whole. Eligible participants cannot, and do not, contribute to the incentive program.

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

Early retirement participation is based on the following criteria, but may be adjusted annually to assist management in budgetary restraints:

1. It is available to employees who are at least 55 years of age. The Board of Directors reserves the right to limit the number of early retirements.
2. The employee has completed at least seven (7) years of service to the District and has been actively employed during the school year that they request early retirement benefits.
3. The employee must be eligible for the receipt of IPERS retirement benefits or allowance pursuant to Chapter 97B of the Code of Iowa.
4. The employee submits a written notification of their intent to apply for early retirement benefits prior to March 1 in the year the early retirement is to begin.
5. The benefits offered to District employees shall be a District contribution to a Special Pay Deferral Plan (SPDP) of 60%–70% of current year's base salary depending on years of service.

During the year ended June 30, 2022, 30 District employees requested early retirement, to be payable during the year ending June 30, 2023. The benefits to be paid to these employees will be made in October 2022 and January 2023 and the total of \$1,205,391 are generally liquidated from the Management Fund. During the year ended June 30, 2022, the District paid \$2,375,381 of early retirement benefits approved during the year ended June 30, 2021 from the Management Fund.

Compensated absences: Compensated absences are generally liquidated by the General Fund. The District's liability for compensated absences is expected to be utilized or paid out within one year.

Bonds payable: Details of the District's general obligation bond, general obligation notes and revenue bonds indebtedness as of June 30, 2022 are as follows:

On February 11, 2020, the District issued \$65,925,000 in General Obligation Bonds, Series 2020, maturing June 1, 2021 through June 1, 2039 with an interest rate of 2.25% to 5% to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District.

Year ending June 30,	General Obligation Bonds - Series 2020		
	Interest Rates	Principal	Interest
2023	5.00%	\$ 2,220,000	\$ 2,050,981
2024	5.00	2,270,000	1,939,981
2025	5.00	2,740,000	1,826,481
2026	5.00	2,910,000	1,689,481
2027	5.00	3,250,000	1,543,981
2028	5.00	3,415,000	1,381,481
2029	4.00	3,585,000	1,210,731
2030	3.00	3,725,000	1,067,331
2031	3.00	3,840,000	955,581
2032	3.00	3,955,000	840,381
2033	2.25	4,075,000	721,731
2034	2.25	4,165,000	630,044
2035	2.25	4,260,000	536,331
2036	2.38	4,355,000	440,481
2037	2.38	4,460,000	337,050
2038	2.50	4,565,000	231,125
2039	2.50	4,680,000	117,000
		<u>\$ 62,470,000</u>	<u>\$ 17,520,172</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On January 8, 2019, the District issued \$66,645,000 in General Obligation Bonds, Series 2019 maturing June 1, 2020 through June 1, 2038 with an interest rate of 2.75% to 5% to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District.

General Obligation Bonds - Series 2019				
Year ending June 30,	Interest Rates		Principal	
			Interest	
2023	2.75%	\$	2,840,000	\$ 2,491,975
2024	5.00		2,925,000	2,413,875
2025	5.00		3,015,000	2,267,625
2026	5.00		3,110,000	2,116,875
2027	5.00		3,215,000	1,961,375
2028	5.00		3,320,000	1,800,625
2029	5.00		3,435,000	1,634,625
2030	5.00		3,550,000	1,462,875
2031	4.00		3,675,000	1,285,375
2032	4.00		3,810,000	1,138,375
2033	4.00		3,950,000	985,975
2034	4.00		4,095,000	827,975
2035	3.63		4,250,000	664,175
2036	3.63		4,410,000	510,112
2037	3.75		4,580,000	350,250
2038	3.75		4,760,000	178,500
			<u>\$ 58,940,000</u>	<u>\$ 22,090,587</u>

On November 29, 2017, the District issued \$58,955,000 in General Obligation Bonds, Series 2017C maturing June 1, 2019 through June 2037 with an interest rate of 2.50% to 5% to finance the remaining projects of the District's facility master plan.

General Obligation Bonds - Series 2017C				
Year ending June 30,	Interest Rates		Principal	
			Interest	
2023	5.00%	\$	2,145,000	\$ 1,472,330
2024	5.00		2,250,000	1,365,080
2025	5.00		2,365,000	1,252,580
2026	5.00		2,485,000	1,134,330
2027	4.00		2,605,000	1,010,080
2028	2.50		2,710,000	905,880
2029	2.50		2,780,000	838,130
2030	2.75		2,850,000	768,630
2031	2.90		2,925,000	690,255
2032	2.95		3,010,000	605,430
2033	3.00		3,100,000	516,635
2034	3.05		3,195,000	423,635
2035	3.15		3,290,000	326,188
2036	3.20		3,395,000	222,553
2037	3.25		3,505,000	113,916
			<u>\$ 42,610,000</u>	<u>\$ 11,645,652</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On December 3, 2014, the District issued \$9,430,000 in General Obligation School Capital Loan Notes, Series, 2014, maturing June 1, 2015 through June 1, 2025 with a interest rates of 2.00% to 2.25% to provide funds to purchase, construct, equip and relocate the One Vision Transitional Schoolhouse; remodel, improve, furnish, and equip Van Allen Elementary; install air-conditioning in and renovate Hoover Elementary; remodel, improve, furnish, and equip Hills Elementary, Weber Elementary and Coralville Central Elementary; Phase I renovation of City High School; and construct, build, furnish and equip East (Hoover) Elementary School. The Notes are general obligations of the District to be paid from a continuing annual levy upon all of the taxable valuation not to exceed one dollar thirty-four cents (\$1.34) per one thousand dollars (\$1,000).

Capital Loan Notes, Series 2014			
Years ending June 30,	Interest Rates	Principal	Interest
2023	2.00%	\$ 900,000	\$ 57,663
2024	2.00	920,000	39,663
2025	2.25	945,000	21,263
		<u>\$ 2,765,000</u>	<u>\$ 118,589</u>

On August 25, 2015, the District issued \$60,030,000 in Sales Tax Revenue Bonds, maturing June 1, 2016 through June 1, 2029 with interest rates of 3.00% to 5.00% to provide funds to build, furnish and equip a new high school building; to build, furnish, and equip addition(s) to existing school buildings in the District; to remodel, repair, expand and improve existing school buildings in the District. The Bonds are not general obligations of the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2015			
Years ending June 30,	Interest Rates	Principal	Interest
2023	5.00%	\$ 4,300,000	\$ 1,282,205
2024	5.00	4,515,000	1,067,205
2025	5.00	4,745,000	841,455
2026	3.00	4,885,000	699,105
2027	3.25	5,045,000	540,343
2028	3.50	5,220,000	363,768
2029	3.55	5,405,000	181,067
		<u>\$ 34,115,000</u>	<u>\$ 4,975,148</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On December 22, 2016, the District issued \$10,000,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.25% to provide funds to construct, build, furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2016				
Years ending June 30,	Interest Rates	Principal	Interest	
2023	2.25%	\$ 825,000	\$	138,038
2024	2.25	840,000		119,475
2025	2.25	855,000		100,575
2026	2.25	875,000		81,338
2027	2.25	895,000		61,650
2028	2.25	915,000		41,513
2029	2.25	930,000		20,925
		<u>\$ 6,135,000</u>	<u>\$</u>	<u>563,514</u>

On January 19, 2017, the District issued \$11,185,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.56% to provide funds to construct, build, furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2017				
Years ending June 30,	Interest Rates	Principal	Interest	
2023	2.56%	\$ 920,000	\$	175,616
2024	2.56	940,000		152,064
2025	2.56	960,000		128,000
2026	2.56	980,000		103,424
2027	2.56	1,000,000		78,336
2028	2.56	1,020,000		52,736
2029	2.56	1,040,000		26,624
		<u>\$ 6,860,000</u>	<u>\$</u>	<u>716,800</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On August 2, 2017, the District issued \$21,200,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.38% to provide funds to construct, build furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax law.

Sales Tax Revenue Bonds, Series 2017B				
		Interest Rates	Principal	Interest
Years ending June 30,				
2023	2.38%	\$	1,730,000	\$ 316,183
2024	2.38		1,785,000	275,009
2025	2.38		1,840,000	232,526
2026	2.38		1,895,000	188,734
2027	2.38		1,950,000	143,633
2028	2.38		2,010,000	97,223
2029	2.38		2,075,000	49,385
			<u>\$ 13,285,000</u>	<u>\$ 1,302,693</u>

On June 26, 2018, the District issued \$9,085,000 in Sales Tax Revenue Bonds, maturing June 1, 2019 through June 1, 2029 with interest rates of 3.30% to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax law.

Sales Tax Revenue Bonds, Series 2018				
		Interest Rates	Principal	Interest
Years ending June 30,				
2023	3.30%	\$	750,000	\$ 191,730
2024	3.30		775,000	166,980
2025	3.30		800,000	141,405
2026	3.30		830,000	115,005
2027	3.30		855,000	87,615
2028	3.30		885,000	59,400
2029	3.30		915,000	30,195
			<u>\$ 5,810,000</u>	<u>\$ 792,330</u>

The District has pledged a portion of future sales tax revenues to repay \$60,030,000 in sales tax increment bonds issued in August 2015, \$10,000,000 in sales tax revenue bonds issued December 2016 and \$11,185,000 in sales tax revenue bonds issued January 2017, \$21,200,000 in sales tax revenue bonds issued August 2017 and \$9,085,000 in sales tax revenue bonds issued June 2018. The bonds are payable solely from the sales taxes received by the District. Total principal and interest remaining on the bonds is \$74,555,485, payable through 2029. For the current year, principal and interest paid and total incremental sales tax revenues were \$10,639,328 and \$17,240,332, respectively.

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

A summary of the District's general obligation bonds, capital loan notes and sales tax revenue bonds principal and interest maturities are as follows:

Year ending June 30,	General Obligation Bonds		Capital Loan Notes		Sales Tax Revenue Bonds	
	Principal	Interest	Principal	Interest	Principal	Interest
2023	\$ 7,205,000	\$ 6,015,286	\$ 900,000	\$ 57,663	\$ 8,525,000	\$ 2,103,772
2024	7,445,000	5,718,936	920,000	39,663	8,855,000	1,780,733
2025	8,120,000	5,346,686	945,000	21,263	9,200,000	1,443,961
2026	8,505,000	4,940,686	-	-	9,465,000	1,187,606
2027	9,070,000	4,515,436	-	-	9,745,000	911,577
2028	9,445,000	4,087,986	-	-	10,050,000	614,640
2029	9,800,000	3,683,486	-	-	10,365,000	308,196
2030	10,125,000	3,298,836	-	-	-	-
2031	10,440,000	2,931,211	-	-	-	-
2032	10,775,000	2,584,186	-	-	-	-
2033	11,125,000	2,224,341	-	-	-	-
2034	11,455,000	1,881,654	-	-	-	-
2035	11,800,000	1,526,694	-	-	-	-
2036	12,160,000	1,173,146	-	-	-	-
2037	12,545,000	801,216	-	-	-	-
2038	9,325,000	409,625	-	-	-	-
2039	4,680,000	117,000	-	-	-	-
	<u>\$ 164,020,000</u>	<u>\$ 51,256,411</u>	<u>\$ 2,765,000</u>	<u>\$ 118,589</u>	<u>\$ 66,205,000</u>	<u>\$ 8,350,485</u>

As of June 30, 2022, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	<u>\$ 12,022,100,708</u>
Debt limit, 5% of total assessed valuation	\$ 601,105,035
Amount of debt applicable to debt limitation, general obligation bonds and capital loan notes	166,785,000
Excess of debt limit over debt outstanding, legal debt margin	<u>\$ 434,320,035</u>

Note 7. Pension and Retirement Benefits

Plan description: IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by the Iowa Public Employees Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Pension benefits: A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is 65, any time after reaching age 62 with 20 or more years of covered employment or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service
- The member's highest five-year salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payment.

Disability and death benefits: A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions: Contribution rates are established by IPERS following the annual actuarial valuation which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2022, pursuant to the required rate, Regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2022 totaled \$12,343,373.

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Pension liabilities, pension expense, and deferred outflows of resources and deferred inflows of resources related to pensions: At June 30, 2022, the District reported a liability of \$2,054,352 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2021, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating governments, actuarially determined. At June 30, 2021, the District's proportion was 1.4654% an increase of 0.003% from its proportion measured as of June 30, 2020. Net pension liability attributable to governmental activities are generally liquidated by the general fund and management fund.

For the year ended June 30, 2022, the District recognized pension benefit of \$16,594,257. At June 30, 2022, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,563,076	\$ (1,569,419)
Changes of assumptions	1,343,722	-
Net difference between projected and actual earnings on pension plan investments	-	(74,432,506)
Changes in proportion and differences between District contributions and proportionate share of contributions	1,899,494	(444,618)
Total deferred amounts to be recognized in pension expense in future periods	4,806,292	(76,446,543)
District contributions subsequent to measurement date	12,343,373	-
Total	\$ 17,149,665	\$ (76,446,543)

Deferred pension outflows totaling \$12,343,373 resulting from the District contributions subsequent to the measurement date, will be recognized as a reduction of the net pension liability in the year ended June 30, 2023. The deferred outflows and deferred inflows resulting from the difference between projected and actual earnings on pension plan investments will be recognized as a reduction of pension expense over five years. The deferred outflows resulting from differences between expected and actual experience, the deferred outflows resulting from changes of assumptions and the deferred outflows and deferred inflows resulting from changes in proportion and differences between District contributions and proportionate share of contributions will be recognized in pension expense using the average expected remaining service lives of all IPERS members. The average is determined by taking the calculated total future service years of the Plan divided by the number of the people in the Plan including retirees.

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Deferred outflows of resources and deferred inflows of resources will be recognized in pension expense as follows:

Years ending June 30:

2023	\$ (18,068,520)
2024	(17,125,012)
2025	(16,388,463)
2026	(20,098,261)
2027	55,362
Thereafter	(15,357)
	<u>\$ (71,640,251)</u>

Actuarial assumptions: The total pension liability in the June 30, 2021 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60% per annum
Rates of salary increases (effective June 30, 2017)	3.25% to 16.25%, average, including inflation. Rates vary by membership group.
Long-term effective investment rate of return (effective June 30, 2017)	7.00%, compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25%, per annum, based on 2.60% inflation and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2021 valuation were based on the results of an economic assumption study dated March 24, 2017 and a demographic assumption study dated June 28, 2018.

Mortality rates used in the 2021 valuation were based on the RP-2014 Employee and Healthy Annuitant Tables with MP-2017 generational adjustments.

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core-plus fixed income	26.0%	0.29%
Domestic equity	22.0	4.43
International equity	17.5	6.01
Global smart beta equity	6.0	5.10
Private equity	13.0	9.51
Private real assets	7.5	4.63
Public credit	4.0	2.08
Private credit	3.0	2.87
Cash	1.0	(0.25)
	<u>100.0%</u>	

Discount rate: The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate: The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00%) or 1-percentage-point higher (8.00%) than the current rate:

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability (asset)	\$ 72,710,236	\$ 2,054,352	\$ (57,159,769)

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Pension plan fiduciary net position: Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report; which can be located at www.ipers.org.

Payables to the pension plan: At June 30, 2022, the District reported payables to the defined benefit pension plan of \$2,180,694 for legally required employer contributions and legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

The Iowa City Community School District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees and natural disasters.

Workers' compensation, property, general liability and other insurance: The District is a member of the Iowa Public School Insurance Program (IPSIP), a public entity risk pool formed in July of 2012 between certain Iowa school districts, created in accordance with Chapter 28E of the Code of Iowa. The purpose of IPSIP is to jointly provide or obtain casualty, property, employer liability, general liability, risk management, professional liability, group coverage and other protections so as to effectively manage and contain costs for insurance coverage and related administration. IPSIP has 20 members as of July 1, 2021. IPSIP is governed by an eleven-member board of directors elected by the members of IPSIP. The District has no direct control over budgeting, financing, the governing body or management selection.

IPSIP is not intended to function as an insurance company for the participants; rather, it is a means of combining the administration of claims and of obtaining lower insurance rates through the creation of a self-insurance pool and through the purchase of commercial insurance. The District's participation in IPSIP represents a risk-sharing pool as defined by GASB Statement No. 10 in which the District pools its risks and funds with other members and shares in the cost of losses. The District is required to make annual payments, which are determined by IPSIP, based upon its direct proportion to the pro rata share of insurance costs for coverage administered by IPSIP. IPSIP may require the participating Districts to make supplemental payments if the funds on hand are insufficient to pay expenses of the administration of IPSIP. The District was not required to make any supplemental payments to IPSIP in fiscal years 2022 or 2021. Payments to IPSIP by the District in order to maintain adequate insurance coverage in fiscal year 2022 was \$2,741,432.

Employee health insurance: During the year ended June 30, 2022, employees of the District were covered by the District's health and dental self-insurance plan. The contributions made by the District are part of the negotiated agreements with specific employee groups. Employees authorize payroll withholdings to pay contributions for dependents or increased coverage. Claims were paid by a third-party administrator acting on behalf of the District. The plans are authorized by Chapter 509A of the Code of Iowa.

The administrative contract between the District and the third-party administrator is renewable annually and administrative fees and stop loss premiums are included in the contractual provisions. In accordance with state statute, the District was protected against unanticipated catastrophic individual or aggregate loss by stop loss coverage from a private insurance company. Stop loss coverage was in effect for individual claims that exceeded \$250,000 and for an aggregate amount of 125% of expected claims.

Iowa City Community School District

Notes to Basic Financial Statements

Note 8. Risk Management (Continued)

All claim handling procedures are performed by an independent claims administrator. Liabilities are recognized when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Recognized liabilities include a provision for all estimated claims incurred but not reported. Changes in the medical claims liability amounts for the years ended June 30, 2022 and 2021 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claims Payments	Ending
Health:				
2022	\$ 1,655,260	\$ 16,579,555	\$ 16,719,494	\$ 1,515,321
2021	1,535,850	17,062,327	16,942,917	1,655,260

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of media, educational services and special education services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$6,897,343 for the year ended June 30, 2022. The District's actual constructive revenue and constructive expenses are included in the General Fund.

Note 10. Commitments

As of June 30, 2022, the District had outstanding construction commitments totaling approximately \$15,413,159, which will be paid with bond proceeds, property taxes and sales taxes.

Note 11. Nonvested Employee Benefits

District employees accumulate sick leave hours for subsequent use and can be carried over in limited amounts for use in future years. The contingent liability for this sick leave is approximately \$41,192,000 as of June 30, 2022. This liability does not vest and is not included as a liability in the statement of net position. This contingent liability has been computed based on rates of pay as of June 30, 2022.

Note 12. Contingencies

As of June 30, 2022, the District is involved in various claims and lawsuits against the District that arise in the normal course of operations, which are covered by insurance. The outcome and eventual liability of the District, if any, from these claims and any unasserted claims is not known at this time; however, management does not believe they will be material to the basic financial statements.

Iowa City Community School District

Notes to Basic Financial Statements

Note 13. Jointly Governed Organization

The District is a member of a cooperative agreement with the City of Coralville, Iowa organized under 28E of the Code of Iowa to provide for the operation of a joint swimming pool facility. The mayor of the City of Coralville, Iowa is designated as the administrator of the agreement. Under the agreement, the District is responsible for 30% of the City's costs and expenses in operating and maintaining the facility payable monthly throughout the year. For the fiscal year 2022, monthly payments were approximately \$9,673 per month, which were paid from the Physical Plant and Equipment Levy Fund. The financial statements for the jointly governed organization can be found in the City of Coralville, Iowa Annual Comprehensive Financial Report. The report may be obtained by writing to the City of Coralville, Iowa, 1512 7th St., Coralville, Iowa 52241.

Note 14. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, a single health care plan provides OPEB for all active and retired employees and their eligible dependents. The plan is administered by the District and the District has the authority to establish or amend the plan provisions or contribution requirements. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement 75. The plan does not issue a stand-alone financial report.

Benefits provided: As required under Iowa Code Chapter 509A-3, the District provides postemployment health benefits. Health benefits include medical, prescription drug and dental. The benefits are provided until the participant is Medicare eligible, are self-insured by the District and administered through Wellmark, Inc.

Contributions: All participants of the postemployment medical, dental and prescription drug plan are required to contribute an amount equal to the premium equivalent. Since the premium equivalent is developed from the claims experience of active employee and retiree lives, an implicit subsidy is provided to retirees and their spouses. The implicit subsidy results from a lower premium equivalent to what a retiree would otherwise pay had the claims experience been based just on retiree health claims. The full active/retire premiums as of July 1, 2022 are as follows:

Rate Tier	Medical	Dental
Retiree only	\$ 675	\$ 32
Retiree and family	1,400	97

Employees covered by benefit terms: At June 30, 2022, the following employees were covered by the benefit terms:

Inactive employees currently receiving benefits	109
Active employees	2,178
	<u>2,287</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 14. Other Postemployment Benefits (OPEB) (Continued)

Total OPEB liability: The District's total OPEB liability of \$12,187,000 was measured as of June 30, 2022, and was determined by an actuarial valuation as of June 30, 2022. Total OPEB liability attributable to governmental activities are generally liquidated by the management fund.

Actuarial methods and assumptions: The total OPEB liability in the June 30, 2022 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Salary increases	3.5%
Discount rate	3.54%
Health care cost trend rates	7.0% for 2022 decreasing by 0.25% per year to an ultimate rate of 4.0%
Mortality rates	PUB 2010 mortality table with generational scale MP-2021

The discount rate was based on the June 30, 2022 Bond Buyer 20-Bond GO Index.

Changes in the total OPEB liability

	Total OPEB Liability
Balance as of June 30, 2021	\$ 11,232,609
Changes for the year:	
Service cost	1,034,983
Interest	265,008
Differences between expected and actual experience	619,050
Changes in assumptions or other inputs	(412,092)
Contributions and payments made	(552,558)
Net changes	954,391
Balance as of June 30, 2022	\$ 12,187,000

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's approximate total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.54%) or 1-percentage-point higher (4.54%) than the current discount rate:

	1% Decrease 2.54%	Discount Rate 3.54%	1% Increase 4.54%
Total OPEB liability	\$ 13,285,000	\$ 12,187,000	\$ 11,195,000

Iowa City Community School District

Notes to Basic Financial Statements

Note 14. Other Postemployment Benefits (OPEB) (Continued)

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower (6.0% decreasing to 3.0%) or 1-percentage-point higher (8.0% decreasing to 5.0%) than the current health care cost trend rates:

	(6.00% Decreasing to 3.00%)	Health Care Cost Trend Rates (7.00% Decreasing to 4.00%)	(8.00% Decreasing to 5.00%)
Total OPEB liability	\$ 10,746,000	\$ 12,187,000	\$ 13,922,000

OPEB expense and deferred outflows of resources and deferred inflows of resources related to OPEB: For the year ended June 30, 2022, the District recognized OPEB expense of \$715,934. At June 30, 2022, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following source:

	Deferred Outflow of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	\$ 584,658	\$ (801,645)
Changes of assumptions or other inputs	291,387	(570,700)
	<u>\$ 876,045</u>	<u>\$ (1,372,345)</u>

Amounts reported as the deferred inflows of resources related to OPEB will be recognized in OPEB expense over the average future service to retirement of plan participants as follows:

Years ending June 30:	
2023	\$ (31,499)
2024	(31,499)
2025	(31,499)
2026	(31,499)
2027	(31,499)
Thereafter	(338,805)
	<u>\$ (496,300)</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 15. Fund Balances

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, establishes criteria for classifying fund balances into specifically defined classifications. The details for the District's fund balances are as follows:

Fund Balances:	General	Physical Plant and Equipment Levy	Capital Projects	Debt Service	General Obligation Bonds	Nonmajor Governmental	Total
Nonspendable, prepaids	\$ 1,738,981	\$ 62,957	\$ 68,695	\$ -	\$ -	\$ -	\$ 1,870,633
Restricted:							
Categorical funding:							
Gifted and talented program	69	-	-	-	-	-	69
Home school assistance program	853,107	-	-	-	-	-	853,107
State preschool	458,472	-	-	-	-	-	458,472
Beginning Teacher	25,058	-	-	-	-	-	25,058
Teacher salary supplement	24,973	-	-	-	-	-	24,973
Teacher quality market factor	17,147	-	-	-	-	-	17,147
State class size reduction	41,518	-	-	-	-	-	41,518
Rec Ed programs	126	-	-	-	-	-	126
State mentoring	2,028	-	-	-	-	-	2,028
Computer scient prof development	2,021	-	-	-	-	-	2,021
Non-public textbooks	20,718	-	-	-	-	-	20,718
Teacher quality-core curriculum	1,089,959	-	-	-	-	-	1,089,959
Teacher leadership program	411,942	-	-	-	-	-	411,942
Teacher quality	14,140	-	-	-	-	-	14,140
Teacher quality market factor 2008	6,245	-	-	-	-	-	6,245
Debt service	-	-	-	972,107	-	-	972,107
Management levy purposes	-	-	-	-	-	1,225,574	1,225,574
Student activities	-	-	-	-	-	66,912	66,912
Capital improvements and equipment	-	9,323,602	3,641,206	-	6,944,732	-	19,909,540
Total restricted	2,967,523	9,323,602	3,641,206	972,107	6,944,732	1,292,486	25,141,656
Unassigned	5,356,550	-	-	-	-	-	5,356,550
Total fund balances	\$ 10,063,054	\$ 9,386,559	\$ 3,709,901	\$ 972,107	\$ 6,944,732	\$ 1,292,486	\$ 32,368,839

Note 16. Tax Abatements

GASB Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action, after the agreement that has been entered into, that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Iowa City Community School District

Notes to Basic Financial Statements

Note 16. Tax Abatements (Continued)

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2022 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Coralville	Urban renewal and economic development	\$ 702,000
City of North Liberty	Urban renewal and economic development	350,963
City of Iowa City	Urban renewal and economic development	836,935
City of University Heights	Urban renewal and economic development	291,313
		<u>\$ 2,181,211</u>

The state of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2022, this reimbursement amounted to \$1,025,691.

Note 17. Adopted and Pending Governmental Accounting Standards Board (GASB) Statements

The District adopted GASB Statement No. 87, *Leases* for the fiscal year ending June 30, 2022. Statement No. 87 establishes a single approach to accounting for and reporting leases by state and local governments. Under this statement, a government entity that is a lessee must recognize (1) a lease liability and (2) an intangible asset representing the lessee's right to use the leased asset. In addition, the District must report the (1) amortization expense for using the lease asset over the shorter of the term of the lease or the useful life of the underlying asset, (2) interest expense on the lease liability and (3) note disclosures about the lease. The Statement provides exceptions from the single-approach for short-term leases, financial purchases, leases of assets that are investments and certain regulated leases. This statement also addresses accounting for lease terminations and modifications, sale-leaseback transactions, non-lease components embedded in lease contracts (such as service agreements), and leases with related parties. The implementation of this standard resulted in the District recording a lease asset and lease liability and reclassifying lease expenditures into amortization and interest expense. The implementation of this standard also resulted in certain additional disclosures.

The GASB has issued several statements not yet implemented by the District. The statements which may impact the District are as follows:

- GASB No. 93, *Replacement of Interbank Offered Rates* establishes how the District will report the change of any of its variable payment debt that are tied to the London Interbank Offered Rate (LIBOR) when the LIBOR standard is no longer used after December 31, 2021. The provision of this statement relating to the removal of the LIBOR rate will be effective for the District with its year ending June 30, 2023.
- GASB Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements* will improve financial reporting by addressing issues related to public-private and public-public partnerships and provides guidance for accounting and reporting for availability payment arrangements. This statement will be effective for the District with its year ending June 30, 2023.

Iowa City Community School District

Notes to Basic Financial Statements

Note 17. Adopted and Pending Governmental Accounting Standards Board (GASB) Statements (Continued)

- GASB Statement No. 96, *Subscription-Based Information Technology Arrangements* provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users. This statement (1) defines a SBITA; (2) establishes that a SBITA results in a right-to-use subscription asset—an intangible asset—and a corresponding subscription liability; (3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and (4) requires note disclosure regarding a SBITA. This statement will be effective for the District with its year ending June 30, 2023.
- GASB Statement No. 97, *Certain Component Unit Criteria, and Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans* will result in more consistent financial reporting of defined contribution pension plans, defined contribution OPEB plans, and other employee benefit plans. This statement will also enhance the relevance, consistency and comparability of (1) the information related to Section 457 plans that meet the definition of a pension plan and the benefits provided through those plans and (2) investment information for all Section 457 plans. Another objective of this statement is to increase consistency and comparability related to the reporting of fiduciary component units in circumstances in which a potential component unit does not have a governing board and the primary government performs the duties that a governing board typically would perform. This statement will be effective for the District with its year ending June 30, 2023.
- GASB Statement No. 99, *Omnibus 2022*, addresses a variety of topics and practice issues that have been identified during implementation and application of certain GASB Statements. The new statement clarifies issues related to derivative instruments, leases, PPP and APA arrangements, SBITAs and various other topics. The requirements of this Statement are effective for fiscal years beginning after June 15, 2022, and all reporting periods thereafter. This statement will be effective for the District with its year ending June 30, 2023.
- GASB Statement No. 100, *Accounting Changes and Error Corrections*, issued in June 2022, will be effective for the District beginning with its fiscal year ended June 30, 2024. The objective of Statement No. 100 is to improve the clarity of the accounting and financial reporting requirements for accounting changes and error corrections, which will result in greater consistency in application in practice.
- GASB Statement No. 101, *Compensated Absences*, issued in June 2022, will be effective for the District beginning with its fiscal year ended June 30, 2025. The objective of Statement No. 101 is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures.

The District's management has not yet determined the effect of Statement Nos. 93, 94, 96, 97, 99, 100, and 101 will have on the District's financial statements but may have a material effect on the financial statements.

Note 18. Subsequent Events

On August 11, 2022 the District issued \$65,815,000 in Sales Tax Revenue Bonds, maturing June 1, 2023 through June 1, 2037 with interest rates of 3.34% to construct a new elementary school building and finance an addition and remodeling at existing school buildings. The Bonds are payable from and secured solely and only by a pledge of certain school infrastructure tax revenues received by the District under the tax law.

Iowa City Community School District

**Required Supplementary Information (unaudited)
Schedule of the District's Proportionate Share of the Net Pension Liability
Iowa Public Employees' Retirement System**

	June 30,	
	2022	2021
Measurement date	June 30, 2021	June 30, 2020
District's proportion of the net pension liability	1.4653930%	1.4687990%
District's proportionate share of the net pension liability	\$ 2,054,352	\$ 102,459,357
District's covered payroll	118,908,951	115,729,873
District's proportionate share of the net pension liability as a percentage of its covered payroll	1.73%	88.53%
Plan fiduciary net position as a percentage of the total pension liability	100.81%	82.90%

Note: GASB Statement No. 68 requires 10 years of information to be presented in this table. However, until a full 10-year trend is compiled, the District will present for those years which information is available.

June 30,					
2020	2019	2018	2017	2016	2015
June 30, 2019	June 30, 2018	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
1.4757510%	1.4416640%	1.3711820%	1.3309690%	1.3168825%	1.3572122%
\$ 86,029,745	\$ 91,203,343	\$ 90,521,204	\$ 83,762,076	\$ 65,060,367	\$ 53,825,764
114,566,896	109,010,291	101,421,937	95,494,737	90,210,145	88,810,145
75.09%	83.66%	89.25%	87.71%	72.12%	60.61%
84.38%	83.62%	82.21%	81.82%	85.19%	87.61%

Iowa City Community School District

**Required Supplementary Information
Schedule of District Contributions
Iowa Public Employees' Retirement System**

Fiscal year ended June 30,	Statutorily required contribution	Contributions in relation to the statutorily required contribution	Contributions deficiency (excess)	District's covered payroll	Contributions as a percentage of covered payroll
2022	\$ 12,343,373	\$ 12,343,373	\$ -	\$ 130,756,070	9.44%
2021	11,225,005	11,225,005	-	118,908,951	9.44
2020	10,924,900	10,924,900	-	115,729,873	9.44
2019	10,815,115	10,815,115	-	114,566,896	9.44
2018	9,734,619	9,734,619	-	109,010,291	8.93
2017	9,056,979	9,056,979	-	101,421,937	8.93
2016	8,527,680	8,527,680	-	95,494,737	8.93
2015	8,055,766	8,055,766	-	90,210,145	8.93
2014	7,930,746	7,930,746	-	88,810,145	8.93
2013	7,093,021	7,093,021	-	N/A	N/A

N/A - Information was not available.

Iowa City Community School District

Notes to Required Supplementary Information—Pension Liability Iowa Public Employee's Retirement System

Changes of benefit terms: There are no significant changes in benefit terms.

Changes of assumptions: The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the UAL (unfunded actuarial liability) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

Iowa City Community School District

Required Supplementary Information (unaudited)

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Last Ten Fiscal Years

	2022	2021
Total OPEB liability		
Service cost	\$ 1,034,983	\$ 1,004,245
Interest	265,008	249,513
Difference between actual and expected	619,050	-
Changes of assumptions or other inputs	(412,092)	46,032
Benefit payments	(552,558)	(706,202)
Net change in total OPEB liability	954,391	593,588
Total OPEB liability—beginning	11,232,609	10,639,021
Total OPEB liability—ending	<u>\$ 12,187,000</u>	<u>\$ 11,232,609</u>
Covered—employee payroll	\$ 97,461,118	\$ 104,937,000
Total OPEB liability as a percentage of covered-employee payroll	13%	11%

Plan fiduciary net position: There are no assets accumulated in a trust that meets the criteria of GASB codification P22.101 or P52.101 to pay related benefits for the plan.

Changes of benefit terms: There were no significant changes in benefit terms.

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period:

2017	3.58%
2018	3.87
2019	3.50
2020	2.21
2021	2.16
2022	3.54

Note: This schedule is presented to illustrate the requirement to show information for 10 years. However, until a full 10-year trend is compiled, governments should present information for those years for which information is available.

	2020		2019		2018
\$	1,212,628	\$	1,107,946	\$	1,066,666
	402,823		387,356		352,150
	-		-		-
	(988,072)		354,106		(245,309)
	(569,938)		(338,147)		(272,000)
	57,441		1,511,261		901,507
	10,581,580		9,070,319		8,168,812
\$	10,639,021	\$	10,581,580	\$	9,070,319
\$	101,388,150	\$	113,399,974	\$	106,067,467
	10%		9%		9%

Iowa City Community School District

Required Supplementary Information (unaudited)
 Budgetary Comparison Schedule
 All Governmental Funds and Enterprise Fund
 Year Ended June 30, 2022

	Governmental Fund Types Actual	Enterprise Fund Type Actual	Total Actual
Revenues:			
Local sources	\$ 118,850,246	\$ 915,247	\$ 119,765,493
State sources	107,150,917	63,097	107,214,014
Federal sources	24,567,224	9,125,681	33,692,905
Total revenues	250,568,387	10,104,025	260,672,412
Expenditures:			
Instruction	142,111,967	-	142,111,967
Support services	72,419,745	-	72,419,745
Noninstructional programs	614,856	7,218,004	7,832,860
Other expenditures	48,150,060	-	48,150,060
Total expenditures	263,296,628	7,218,004	270,514,632
Excess of revenues over (under) expenditures/expenses	(12,728,241)	2,886,021	(9,842,220)
Other financing sources, net	1,488,145	-	1,488,145
Net change in fund balances/net position	(11,240,096)	2,886,021	(8,354,075)
Fund balances/net position, beginning of year	43,608,935	1,367,380	44,976,315
Fund balances/net position, end of year	<u>\$ 32,368,839</u>	<u>\$ 4,253,401</u>	<u>\$ 36,622,240</u>

See note to required supplementary information.

Budgeted Amounts		Final to Actual Variance- Over (Under)
Original	Final	
\$ 119,311,722	\$ 119,311,722	\$ 453,771
107,125,701	107,125,701	88,313
17,900,000	17,900,000	15,792,905
244,337,423	244,337,423	16,334,989
136,920,972	142,420,972	(309,005)
60,776,700	66,976,700	5,443,045
7,940,000	8,640,000	(807,140)
64,424,127	69,424,127	(21,274,067)
270,061,799	287,461,799	(16,947,167)
(25,724,376)	(43,124,376)	33,282,156
50,000	50,000	1,438,145
\$ (25,674,376)	\$ (43,074,376)	\$ 34,720,301

Iowa City Community School District

Note to Required Supplementary Information—Budgetary Reporting

The Board of Education annually adopts and certifies a budget by program which includes all funds except for internal service funds, agency funds and private-purpose trust funds on the GAAP basis following required public notice and hearing in accordance with the Code of Iowa. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The legal level of control is at the aggregated functional level, not at the fund or fund type level. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula (spending authority).

During the year ended June 30, 2022, the Districted adopted one budget amendment which increased the budgeted expenditures by \$17,400,000.

Iowa City Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2022

	Special Revenue		Total Nonmajor Governmental Funds
	Management	Student Activity	
Assets			
Cash, cash equivalents, and investments	\$ 1,515,394	\$ 226,904	\$ 1,742,298
Receivables:			
Property tax:			
Current year	20,869	-	20,869
Succeeding year	5,200,017	-	5,200,017
Other	-	40	40
Due from other funds	1,700	-	1,700
Total assets	\$ 6,737,980	\$ 226,944	\$ 6,964,924
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 4,464	\$ 131,720	\$ 136,184
Due to other funds	307,925	28,312	336,237
Total liabilities	312,389	160,032	472,421
Deferred inflows of resources, unavailable revenue—property tax	5,200,017	-	5,200,017
Fund balances, restricted	1,225,574	66,912	1,292,486
Total liabilities, deferred inflows of resources and fund balances	\$ 6,737,980	\$ 226,944	\$ 6,964,924

Iowa City Community School District

**Combining Statement of Revenues, Expenditures and Changes in
Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2022**

	Special Revenue		Total Nonmajor Governmental Funds
	Management	Student Activity	
Revenues:			
Local sources:			
Local tax	\$ 6,448,281	\$ -	\$ 6,448,281
Other	-	2,925,901	2,925,901
Interest	-	2,006	2,006
State sources	127,565	-	127,565
Total revenues	6,575,846	2,927,907	9,503,753
Expenditures:			
Current:			
Instruction:			
Regular	3,566,267	-	3,566,267
Other instruction	-	3,107,938	3,107,938
Support services:			
Administration services	1,020,547	-	1,020,547
Operations and maintenance	2,564,089	8,803	2,572,892
Transportation services	-	635,967	635,967
Total expenditures	7,150,903	3,752,708	10,903,611
(Deficiency) of revenues over expenditures	(575,057)	(824,801)	(1,399,858)
Other financing sources, transfers in	-	400,000	400,000
Net change in fund balances	(575,057)	(424,801)	(999,858)
Fund balances, beginning of year	1,800,631	491,713	2,292,344
Fund balances, end of year	<u>\$ 1,225,574</u>	<u>\$ 66,912</u>	<u>\$ 1,292,486</u>

Iowa City Community School District

Statistical Section Contents (Unaudited)

The statistical section of the District's annual comprehensive financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	73-87
Revenue Capacity	
These schedules contain information to help the reader assess the District's most significant local revenue sources, the property tax (or sales tax).	88-91
Debt Capacity	
These schedules present information to help the reader assess the affordability of the District's current level of outstanding debt and the District's ability to issue additional debt in the future.	92-95
Demographic and Economic Information	
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.	96-97
Operating Information	
These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs.	98-107

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual report for the relevant year.

Iowa City Community School District

Net Position by Component

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
Governmental activities:				
Net investment in capital assets	\$ 127,010,427	\$ 144,275,207	\$ 176,170,719	\$ 203,709,702
Restricted	38,547,315	34,835,478	18,444,336	36,650,711
Unrestricted	28,366,297	21,012,594	(33,554,068)	(60,864,399)
Total governmental activities net position	\$ 193,924,039	\$ 200,123,279	\$ 161,060,987	\$ 179,496,014
Business-type activities:				
Net investment in capital assets	\$ 577,047	\$ 528,075	\$ 518,311	\$ 528,403
Unassigned	3,227,351	2,983,964	1,418,780	1,081,678
Total business-type activities net position	\$ 3,804,398	\$ 3,512,039	\$ 1,937,091	\$ 1,610,081
Primary government:				
Net investment in capital assets	\$ 127,587,474	\$ 144,803,282	\$ 176,689,030	\$ 204,238,105
Restricted	38,547,315	34,835,478	18,444,336	36,650,711
Unrestricted	31,593,648	23,996,558	(32,135,288)	(59,782,721)
Total primary government net position	\$ 197,728,437	\$ 203,635,318	\$ 162,998,078	\$ 181,106,095

(1) Unrestricted net position declined significantly in fiscal year 2015 for both governmental and business-type activities due to the impact of GASB 68 compliance and a resulting impact of a new net pension liability of \$53,825,764 shared between governmental and business-type activities at \$52,732,793 and business-type activities at \$1,092,971.

(2) Unrestricted net position in fiscal year 2018 declined significantly for governmental activities due to the impact of GASB 75 compliance and a resulting impact of a new other postemployment benefit liability of \$9,070,319. Unrestricted net position also declined due to purchases of capital assets and issuance of debt in accordance with the District's master Plan.

Fiscal Year					
2017	2018	2019	2020	2021	2022
			(restated)		
\$ 216,162,177	\$ 232,565,407	\$ 257,625,723	\$ 223,786,832	\$ 234,857,308	\$ 242,903,354
14,880,016	3,457,317	6,960,886	8,284,684	4,523,663	13,993,644
(32,992,743)	(40,392,948)	(59,302,159)	(55,474,561)	(51,831,446)	(41,636,368)
\$ 198,049,450	\$ 195,629,776	\$ 205,284,450	\$ 176,596,955	\$ 187,549,525	\$ 215,260,630
\$ 513,229	\$ 543,571	\$ 514,491	\$ 452,368	\$ 478,029	\$ 461,153
1,417,772	1,494,227	1,823,380	1,762,029	2,043,197	5,041,225
\$ 1,931,001	\$ 2,037,798	\$ 2,337,871	\$ 2,214,397	\$ 2,521,226	\$ 5,502,378
\$ 216,675,406	\$ 233,108,978	\$ 258,140,214	\$ 224,239,200	\$ 235,405,429	\$ 243,364,507
14,880,016	3,457,317	6,960,886	8,284,684	4,523,663	13,993,644
(31,574,971)	(38,898,721)	(57,478,779)	(53,712,532)	(49,858,341)	(36,595,143)
\$ 199,980,451	\$ 197,667,574	\$ 207,622,321	\$ 178,811,352	\$ 190,070,751	\$ 220,763,008

Iowa City Community School District

Expenses, Program Revenues and Net (Expense) Revenue
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
Expenses:				
Governmental activities:				
Instruction	\$ 100,951,730	\$ 104,733,457	\$ 100,335,876	\$ 107,177,328
Support services:				
Student services	4,942,088	4,686,664	4,499,186	4,835,646
Instructional services	6,962,932	7,427,014	6,446,914	9,576,097
Administration services	11,401,516	12,506,153	12,221,714	13,741,415
Operation and maintenance of plant	14,845,156	15,423,524	14,800,540	15,242,048
Pupil transportation services	5,396,481	5,726,049	5,565,497	4,593,145
Other, primarily AEA flowthrough	4,889,195	5,224,132	5,585,294	5,689,143
Noninstructional programs	466,024	563,138	605,079	368,506
Interest on long-term debt	390,685	200,128	229,081	1,925,504
Total governmental activities expenses	150,245,807	156,490,259	150,289,181	163,148,832
Business-type activities, nutrition	4,821,834	5,491,953	5,822,005	6,189,701
Total primary government expenses	\$ 155,067,641	\$ 161,982,212	\$ 156,111,186	\$ 169,338,533
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction	\$ 1,891,858	\$ 2,071,749	\$ 1,360,834	\$ 1,013,403
Support services	176,884	205,142	210,215	250,620
Operating grants and contributions	20,880,498	20,109,977	24,461,796	28,901,876
Capital grants and contributions	1,889,776	207,457	939,553	641,945
Total governmental activities program revenues	24,839,016	22,594,325	26,972,398	30,807,844
Business-type activities:				
Charges for services, nutrition	2,245,333	2,260,342	2,320,574	2,357,084
Operating grants and contributions	2,662,433	2,929,125	3,212,336	3,498,804
Total business-type program revenues	4,907,766	5,189,467	5,532,910	5,855,888
Total primary government program revenues	\$ 29,746,782	\$ 27,783,792	\$ 32,505,308	\$ 36,663,732
Net (expense) revenue:				
Governmental activities	\$ (125,406,791)	\$ (133,895,934)	\$ (129,078,091)	\$ (132,340,988)
Business-type activities	85,942	(302,486)	(289,094)	(333,813)
Total primary government net expense	\$ (125,320,849)	\$ (134,198,420)	\$ (129,367,185)	\$ (132,674,801)

Fiscal Year					
2017	2018	2019	2020	2021	2022
\$ 113,110,337	\$ 127,747,232	\$ 132,870,361	\$ 136,961,064	\$ 150,028,116	\$ 145,213,310
4,557,940	5,933,064	6,407,546	5,181,419	7,200,995	6,809,817
10,152,792	11,199,206	11,538,206	11,124,732	12,106,312	11,422,676
15,461,765	17,946,142	17,815,225	18,150,702	18,599,999	19,368,333
16,342,729	18,877,434	19,415,295	20,185,313	21,217,816	21,007,817
4,602,541	5,000,963	5,056,479	4,949,353	5,074,141	5,706,147
5,941,833	6,197,252	6,599,916	6,943,996	6,829,103	6,897,343
677,754	745,049	651,022	615,064	566,924	564,895
2,139,432	3,831,530	5,200,637	8,116,117	7,731,553	7,198,852
172,987,123	197,477,872	205,554,687	212,227,760	229,354,959	224,189,190
6,036,498	6,481,988	6,575,441	6,747,139	5,770,183	7,122,873
\$ 179,023,621	\$ 203,959,860	\$ 212,130,128	\$ 218,974,899	\$ 235,125,142	\$ 231,312,063
\$ 1,658,135	\$ 1,820,632	\$ 2,045,298	\$ 2,140,253	\$ 1,997,428	\$ 2,835,730
306,451	337,003	346,680	362,463	253,646	312,863
25,806,402	26,877,570	27,383,727	26,865,019	33,587,992	42,848,684
191,741	904,490	145,597	206,540	768,076	920,352
27,962,729	29,939,695	29,921,302	29,574,275	36,607,142	46,917,629
2,626,442	2,659,506	2,819,280	2,174,897	404,205	908,370
3,722,874	3,912,283	4,021,884	4,416,802	5,467,733	9,188,778
6,349,316	6,571,789	6,841,164	6,591,699	5,871,938	10,097,148
\$ 34,312,045	\$ 36,511,484	\$ 36,762,466	\$ 36,165,974	\$ 42,479,080	\$ 57,014,777
\$ (145,024,394)	\$ (167,538,177)	\$ (175,633,385)	\$ (182,653,485)	\$ (192,747,817)	\$ (177,271,561)
312,818	89,801	265,723	(155,440)	101,755	2,974,275
\$ (144,711,576)	\$ (167,448,376)	\$ (175,367,662)	\$ (182,808,925)	\$ (192,646,062)	\$ (174,297,286)

Iowa City Community School District

General Revenues and Total Change in Net Position

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
Net (expense) revenue:				
Governmental activities	\$ (125,406,791)	\$ (133,895,934)	\$ (123,316,783)	\$ (132,340,988)
Business-type activities	85,942	(302,486)	(289,094)	(333,813)
Total primary government net expense	(125,320,849)	(134,198,420)	(123,605,877)	(132,674,801)
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for general purposes	60,395,065	61,055,235	63,617,123	66,430,760
Property taxes levied for capital projects	8,389,497	8,705,266	9,151,358	9,287,340
Property taxes levied debt service	3,502,939	3,310,092	3,278,652	3,259,578
Sales taxes provided for capital projects	10,813,815	11,125,642	12,515,712	12,815,660
Unrestricted grants and contributions	48,024,527	52,004,652	56,396,516	57,802,551
Investment earnings	253,529	216,168	233,928	465,432
Gain on sale of capital assets	-	4,571	-	-
Other	4,145,399	3,673,548	1,462,366	714,694
Transfers	-	-	-	-
Total governmental activities	135,524,771	140,095,174	146,655,655	150,776,015
Business-type activities:				
Investment earnings	5,559	10,127	7,509	6,803
Transfers	-	-	-	-
	5,559	10,127	7,509	6,803
Total primary government	135,530,330	140,105,301	146,663,164	150,782,818
Change in net position:				
Governmental activities	10,117,980	6,199,240	23,338,872	18,235,027
Business-type activities	91,501	(292,359)	(281,585)	(327,010)
Total primary government	\$ 10,209,481	\$ 5,906,881	\$ 23,057,287	\$ 17,908,017

Fiscal Year					
2017	2018	2019	2020	2021	2022
\$ (145,024,394)	\$ (167,538,177)	\$ (175,633,385)	\$ (182,653,485)	\$ (192,747,817)	\$ (177,271,561)
312,818	89,801	265,723	(155,440)	101,755	2,974,275
(144,711,576)	(167,448,376)	(175,367,662)	(182,808,925)	(192,646,062)	(174,297,286)
71,261,883	74,276,771	76,056,596	80,866,263	85,449,986	85,177,891
9,999,172	10,428,235	10,939,315	11,202,835	12,318,185	12,499,711
3,294,159	3,301,317	12,808,824	9,718,090	13,187,465	12,921,108
13,096,050	13,165,538	14,300,041	14,810,601	16,197,824	17,548,220
64,814,688	65,993,465	67,212,823	69,240,057	72,359,885	71,705,543
461,313	1,379,124	2,782,746	2,062,291	754,505	183,078
-	-	-	-	-	1,079,733
850,565	1,621,865	1,187,714	1,242,837	3,632,537	3,867,382
-	-	-	-	(200,000)	-
163,777,830	170,166,315	185,288,059	189,142,974	203,700,387	204,982,666
8,102	16,996	34,350	31,966	5,074	6,877
-	-	-	-	200,000	-
8,102	16,996	34,350	31,966	205,074	6,877
163,785,932	170,183,311	185,322,409	189,174,940	203,905,461	204,989,543
18,753,436	2,628,138	9,654,674	6,489,489	10,952,570	27,711,105
320,920	106,797	300,073	(123,474)	306,829	2,981,152
\$ 19,074,356	\$ 2,734,935	\$ 9,954,747	\$ 6,366,015	\$ 11,259,399	\$ 30,692,257

Iowa City Community School District

**Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)**

	Fiscal Year			
	2013	2014	2015	2016
General Fund:				
Nonspendable	\$ 996,786	\$ 1,174,203	\$ 1,095,801	\$ 1,127,628
Restricted	3,642,566	3,575,202	3,303,867	3,963,463
Assigned	669,699	877,237	-	-
Unassigned	13,271,679	8,112,212	11,544,614	15,339,260
Total General Fund	\$ 18,580,730	\$ 13,738,854	\$ 15,944,282	\$ 20,430,351
All other governmental funds:				
Nonspendable	\$ -	\$ -	\$ 1,540	\$ 1,310
Restricted	34,939,533	31,288,237	16,413,698	34,191,190
Total all other governmental funds	\$ 34,939,533	\$ 31,288,237	\$ 16,415,238	\$ 34,192,500

Fiscal Year					
2017	2018	2019	2020	2021	2022
\$ 1,251,954	\$ 1,395,556	\$ 1,472,184	\$ 1,552,575	\$ 1,316,399	\$ 1,738,981
4,030,600	2,478,299	2,157,358	2,811,326	2,920,281	2,967,523
-	-	-	-	-	-
18,550,551	17,237,568	11,270,502	6,876,239	11,653,470	5,356,550
\$ 23,833,105	\$ 21,111,423	\$ 14,900,044	\$ 11,240,140	\$ 15,890,150	\$ 10,063,054
\$ 267,973	\$ 137,692	\$ 94,879	\$ 97,485	\$ 346,313	\$ 131,652
12,713,261	64,583,510	68,914,957	71,311,158	27,372,472	22,174,133
\$ 12,981,234	\$ 64,721,202	\$ 69,009,836	\$ 71,408,643	\$ 27,718,785	\$ 22,305,785

Iowa City Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
Federal sources, federal grants	\$ 7,463,516	\$ 5,861,754	\$ 6,379,586	\$ 6,580,460
State sources, state grants and other	61,319,723	77,184,727	83,805,768	90,008,338
Local sources:				
Ad valorem taxes	82,777,217	72,945,024	76,047,134	78,977,678
Interest and other income	161,781	125,569	124,419	407,023
Other revenues	8,767,902	7,022,831	7,812,866	6,153,188
Total local sources	91,706,900	80,093,424	83,984,419	85,537,889
Total revenues	\$ 160,490,139	\$ 163,139,905	\$ 174,169,773	\$ 182,126,687

Fiscal Year					
2017	2018	2019	2020	2021	2022
\$ 6,678,886	\$ 7,321,701	\$ 7,376,387	\$ 6,786,477	\$ 15,223,359	\$ 24,567,224
93,878,875	95,391,484	98,667,550	101,292,798	104,929,440	107,150,917
84,555,214	88,006,322	99,804,738	101,787,195	110,955,636	110,598,710
363,541	1,215,219	2,436,360	1,751,812	619,610	127,364
6,111,910	7,512,810	6,823,601	6,787,748	6,961,282	8,124,172
91,030,665	96,734,351	109,064,699	110,326,755	118,536,528	118,850,246
\$ 191,588,426	\$ 199,447,536	\$ 215,108,636	\$ 218,406,030	\$ 238,689,327	\$ 250,568,387

Iowa City Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
Instruction	\$ 93,842,840	\$ 96,348,768	\$ 100,113,327	\$ 101,899,548
Pupil personnel services	4,854,053	4,464,944	4,877,624	4,763,197
Instruction and curriculum development services	7,040,962	7,409,098	6,585,412	9,713,120
School administration	11,052,695	11,578,554	11,955,731	12,582,260
Plant operation and maintenance	12,219,182	13,580,269	13,229,990	13,092,362
Pupil transportation services	5,396,481	5,726,049	5,565,497	4,593,145
AEA flowthrough	4,861,844	5,193,678	5,551,884	5,654,082
Community services	531,573	542,712	623,877	385,765
Noncapital facilities acquisition/construction	8,785,850	4,401,635	947,459	2,188,919
Capital outlay, facilities acquisition/construction	9,877,428	19,092,591	42,850,527	59,615,069
Debt service:				
Principal	2,825,000	2,885,000	3,735,000	7,775,000
Interest	669,031	417,400	422,161	2,325,183
Bond issuance costs	-	-	-	-
Total expenditures	\$ 161,956,939	\$ 171,640,698	\$ 196,458,489	\$ 224,587,650
Debt service as a percentage of noncapital expenditures	2.30%	2.16%	2.71%	6.12%

Fiscal Year						
2017	2018	2019	2020	2021	2022	
\$ 109,549,193	\$ 116,166,464	\$ 120,842,206	\$ 123,917,779	\$ 127,092,438	\$ 142,111,967	
4,557,202	5,263,475	5,877,007	5,896,997	6,838,597	7,477,882	
9,994,547	10,858,679	11,232,600	10,668,508	11,750,560	12,372,274	
13,890,404	15,398,662	16,040,462	16,231,105	16,051,020	19,500,426	
14,138,848	15,702,415	16,581,995	18,534,661	19,317,470	20,458,267	
4,602,541	5,000,963	5,056,479	4,945,842	5,071,888	5,713,553	
5,906,772	6,162,191	6,338,197	6,529,748	6,829,103	6,897,343	
669,560	729,280	636,469	590,548	551,427	614,856	
745,028	5,198,509	1,025,704	2,780,541	7,971,437	6,717,672	
57,975,011	47,648,288	79,812,987	77,886,985	51,075,562	16,893,963	
7,235,000	10,879,607	19,212,478	13,106,719	15,611,195	15,702,828	
2,817,832	4,423,206	5,710,654	9,600,172	9,478,750	8,835,597	
-	-	226,658	379,187	-	-	
\$ 232,081,938	\$ 243,431,739	\$ 288,593,896	\$ 291,068,792	\$ 277,639,447	\$ 263,296,628	
5.77%	7.82%	11.94%	10.65%	11.07%	9.96%	

Iowa City Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2013	2014	2015	2016
Excess of revenues over (under) expenditures	\$ (1,466,800)	\$ (8,500,793)	\$ (22,288,716)	\$ (42,460,963)
Other financing sources (uses):				
General long-term debt issued	\$ -	\$ -	\$ 9,430,000	\$ 60,030,000
Premium on bond issuance	-	-	191,145	4,694,294
Discount on bond issuance	-	-	-	-
Other, including sale of capital assets	-	7,621	-	-
Lease financing	-	-	-	-
Transfers in	172,000	182,000	1,056,061	6,729,315
Transfers out	(172,000)	(182,000)	(1,056,061)	(6,729,315)
Total other financing sources (uses)	-	7,621	9,621,145	64,724,294
Net change in fund balances	\$ (1,466,800)	\$ (8,493,172)	\$ (12,667,571)	\$ 22,263,331

Fiscal Year					
2017	2018	2019	2020	2021	2022
\$ (40,493,512)	\$ (43,984,203)	\$ (73,485,260)	\$ (72,662,762)	\$ (39,156,855)	\$ (12,728,241)
\$ 21,185,000	\$ 89,240,000	\$ 66,645,000	\$ 65,925,000	\$ -	\$ -
-	3,491,252	4,917,515	5,476,665	-	-
-	(73,328)	-	-	-	-
-	344,565	-	-	25,000	1,225,000
1,500,000	-	-	-	-	263,145
8,937,632	13,214,213	12,383,653	12,433,164	14,885,609	13,999,790
(8,937,632)	(13,214,213)	(12,383,653)	(12,433,164)	(15,085,609)	(13,999,790)
22,685,000	93,002,489	71,562,515	71,401,665	(175,000)	1,488,145
\$ (17,808,512)	\$ 49,018,286	\$ (1,922,745)	\$ (1,261,097)	\$ (39,331,855)	\$ (11,240,096)

Iowa City Community School District

Assessed Value and Actual Value of Taxable Property Last Ten Fiscal Years (Unaudited)

Fiscal Year	Actual Value			Total Actual Value	Total Taxable Value	Total Direct Rate
	Residential Property	Commercial Property	Agricultural and Other Property			
2013	\$ 6,300,549,300	\$ 2,064,767,753	\$ 182,998,016	\$ 8,548,315,069	\$ 5,010,901,831	14.073%
2014	6,560,418,660	2,080,459,785	180,298,716	8,821,177,161	5,200,640,964	13.688
2015	7,083,834,010	2,025,642,591	189,592,895	9,299,069,496	5,471,006,291	13.700
2016	7,287,199,580	2,082,744,148	187,200,825	9,557,144,553	5,600,477,037	13.868
2017	7,777,625,340	2,364,423,414	85,321,327	10,227,370,081	5,978,490,538	13.989
2018	8,017,837,490	2,443,440,521	76,091,940	10,537,369,951	6,229,388,162	13.958
2019	8,828,930,000	2,610,622,092	55,837,000	11,495,389,092	6,543,211,455	14.856
2020	9,062,196,590	2,628,441,760	55,769,080	11,754,025,547	6,883,478,180	14.791
2021	9,535,070,001	2,435,639,195	55,556,660	12,026,265,856	7,248,667,366	14.839
2022	9,535,307,672	2,948,624,063	55,555,020	12,539,486,755	7,489,730,688	14.851

Source: Johnson County Auditor.

Note: The actual values are determined as of January 1, of the fiscal year indicated. These actual values are used to calculate the taxable values for the second budget following assessment date. For example, the total actual value of \$10,537,369,951 from January 1, 2018 are used for the taxable values for fiscal year 2020.

Iowa City Community School District

Direct and Overlapping Property Tax Rates

Last Ten Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Fiscal Year Ended June 30	District Direct Rates				Overlapping Rates			
	General	Capital	Debt Service	Total	County	City of Iowa City	Area School	Other
	Purposes	Purposes	Purposes					
2013	11.706	\$ 1.670	\$ 0.697	\$ 14.073	\$ 6.749	\$ 17.269	\$ 1.079	\$ 0.329
2014	11.383	1.670	0.635	13.688	6.737	16.805	1.065	0.344
2015	11.432	1.670	0.598	13.700	6.742	16.705	1.058	0.323
2016	11.612	1.670	0.586	13.868	6.903	16.651	1.061	0.328
2017	11.771	1.670	0.550	13.991	6.771	16.583	1.080	0.324
2018	11.760	1.670	0.529	13.959	6.851	16.333	1.132	0.330
2019	11.231	1.670	1.955	14.856	6.536	16.183	1.203	0.306
2020	11.672	1.670	1.449	14.791	6.493	15.833	1.213	0.271
2021	11.381	1.670	1.788	14.839	6.346	15.773	1.257	0.331
2022	11.455	1.670	1.726	14.851	6.168	15.673	1.312	0.327

Source: Johnson County Auditor and Iowa Department of Management.

Iowa City Community School District

Principal Property Taxpayers Current Year and Nine Years Ago (Unaudited)

Taxpayer	2022			2013		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Rise at Riverfront Crossing Owner LLC	\$ 55,376,050	1	0.74%	\$ -	-	0.00%
Coral Ridge Mall LLC	54,730,474	2	0.73%	\$ 100,402,295	1	2.00%
BBCS-Hawkeye Housing LLC	50,708,760	3	0.68%			0.00%
Iowa Latitude LLC	48,828,400	4	0.65%	-	-	0.00%
Tailwind Iowa City LLC	43,517,480	5	0.58%			0.00%
1201 Gilbert LLC	39,986,270	6	0.53%			0.00%
808 on 5th LLC	38,422,900	7	0.51%	-	-	0.00%
City of Coralville	35,722,600	8	0.48%	43,482,800	4	0.87%
ACT, Inc	34,825,720	9	0.46%	49,208,830	3	0.98%
Hawkeye Landlords (IA) LLC	29,376,100	10	0.39%	-	-	0.00%
Mid American Energy Co	-	-	-	98,696,654	2	1.97
Individual	-	-	-	25,229,370	5	0.50
CCAL 100 Hawk Ridge Drive LLC	-	-	-	23,632,470	6	0.47
ITC Midwest LLC	-	-	-	23,409,742	7	0.47
Individual	-	-	-	22,304,850	8	0.45
Dealer Properties IC LLC	-	-	-	20,612,110	9	0.41
HyVee, Inc	-	-	-	17,270,400	10	0.34
All other taxpayers	7,058,235,934	-	-	4,586,652,310	-	-
Total	\$ 7,489,730,688			\$ 5,010,901,831		

Source: Johnson County Auditor.

Iowa City Community School District

Property Tax Levies and Collections Last Ten Fiscal Years (Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Delinquent Tax Collections ¹	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2013	\$ 66,443,766	\$ 66,421,113	99.96%	\$ 4,512	\$ 66,425,625	99.97%
2014	65,648,860	65,594,662	99.92	-	65,594,662	99.92
2015	68,524,114	69,442,154	101.34	3,060	69,445,214	101.34
2016	71,037,013	71,874,564	101.18	-	71,874,564	101.18
2017	77,594,186	77,537,625	99.93	769	77,538,394	99.93
2018	80,680,381	80,666,569	99.98	20,410	80,686,979	100.01
2019	92,349,637	92,238,102	99.88	7,644	92,245,746	99.89
2020	95,100,386	93,272,953	98.08	1,017	93,273,970	98.08
2021	101,481,415	101,453,919	99.97	1,531,519	102,985,438	101.48
2022	104,227,094	104,008,811	99.79	8,507	104,017,318	99.80

Source: Johnson County Auditor and District records.

¹ Delinquent tax collection is presented by collection year, rather than levy year, because information is not available from Johnson County Treasurer by levy year.

Iowa City Community School District

Ratios of Outstanding Debt by Type Last Ten Fiscal Years (Unaudited)

Fiscal Year	General Obligation Bonds Outstanding	Percent of Actual Taxable Value of Property	Per Capita	Other Governmental Activities Debt	
				Capital Loan Notes	Sales Tax Revenue Bonds
2013	\$ 16,048,419	0.30%	\$ 138	\$ -	\$ -
2014	12,874,476	0.24	111.64	-	-
2015	9,866,080	0.18	89.69	8,630,000	-
2016	6,633,240	0.12	60.30	7,830,000	60,352,252
2017	3,370,969	0.06	29.57	7,015,000	77,642,502
2018	62,266,534	0.95	541.45	6,190,000	100,898,395
2019	122,977,663	1.78	1,068.18	5,355,000	92,859,513
2020	189,311,326	2.61	1,642.44	4,510,000	84,601,408
2021	181,717,043	2.43	1,453.74	3,645,000	76,101,343
2022	173,899,653	2.31	1,391.20	2,765,000	67,491,711

	Capital Lease	Total Primary Government	Percentage of Personal Income	Per Capita
2013	\$ -	\$ 16,048,419	*	\$ 138
2014	-	12,874,476	*	111.64
2015	-	18,496,080	*	168.14
2016	-	74,815,492	*	680.12
2017	-	88,028,471	*	772.18
2018	-	169,354,929	*	1,472.66
2019	752,914	221,945,090	*	1,927.81
2020	381,196	278,803,930	*	2,421.68
2021	-	261,463,386	*	2,091.71
2022	-	244,156,364	*	1,953.25

Source: District records

* Information not available

Iowa City Community School District

Direct and Overlapping Governmental Activities Debt As of June 30, 2022 (Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
City of Iowa City	53,935,000	100.000%	\$ 53,935,000
City of Coralville	291,296,431	76.210	221,997,010
City of North Liberty	37,360,000	66.975	25,021,860
City of Hills	561,000	100.000	561,000
Kirkwood Community College	137,385,000	73.028	100,329,518
Johnson County	9,602,400	72.979	7,007,735
City of University Heights	1,380,000	100.000	1,380,000
Subtotal, overlapping debt			<u>410,232,123</u>
District direct debt			<u>244,156,364</u>
Total direct and overlapping debt			<u><u>\$ 654,388,487</u></u>

Source: Johnson County Auditor

* Estimate is based upon overlapping total assessed value and assessed value within Iowa City Community School District boundaries.

Iowa City Community School District

Legal Debt Margin Information Last Ten Fiscal Years (Unaudited)

	2013	2014	2015	2016
Debt limit	\$ 400,084,113	\$ 407,474,411	\$ 427,415,753	\$ 441,058,858
Total net debt applicable to limit	15,165,000	12,280,000	9,345,000	6,320,000
Legal debt margin	<u>\$ 384,919,113</u>	<u>\$ 395,194,411</u>	<u>\$ 418,070,753</u>	<u>\$ 434,738,858</u>
Total net debt applicable to the limit as a percentage of debt limit	3.79%	3.01%	2.19%	1.43%

Source: Johnson County Auditor and District records.

Legal Debt Margin Calculation for Fiscal Year 2022					
Assessed value—2020 valuation				\$	12,022,100,708
Debt limit (5% of assessed value)				\$	601,105,035
Debt applicable to limit					166,785,000
Legal debt margin				\$	434,320,035
2017	2018	2019	2020	2021	2022
\$ 477,857,228	\$ 487,929,188	\$ 521,359,947	\$ 538,676,107	\$ 587,489,136	\$ 601,105,035
10,220,000	65,145,000	120,450,000	181,415,000	174,250,000	166,785,000
\$ 467,637,228	\$ 422,784,188	\$ 400,909,947	\$ 357,261,107	\$ 413,239,136	\$ 434,320,035
2.13%	13.35%	23.10%	33.68%	29.66%	27.75%

Iowa City Community School District

Demographic and Economic Statistics Last Ten Calendar Years (Unaudited)

Calendar Year	Iowa City Population	Total District Population (approximate)	Personal Income (000's) (Johnson County)	Per Capita Personal Income (Johnson County)	Iowa City MSA Unemployment Rate
2013	67,862	110,000	*	*	3.10
2014	67,862	110,000	*	*	2.50
2015	67,862	110,000	*	*	3.30
2016	67,862	114,000	*	*	2.80
2017	67,862	115,000	*	*	2.00
2018	67,862	115,000	*	*	2.10
2019	67,662	115,000	*	*	5.80
2020	74,828	125,000	*	*	4.80
2021	74,828	125,000	*	*	3.80
2022	74,828	125,000	*	*	2.50

* Information not available

Source: City of Iowa City and Regional Economic Information System, Bureau of Economic Analysis, U.S. Department of Commerce, Iowa Workforce Development (August 2022) and Johnson County Auditor.

Iowa City Community School District

Principal Employers Current Year and Nine Years Ago (Unaudited)

Employer	2022			2013		
	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
The University of Iowa Hospitals and Clinics	14,200	1	14.14%	12,154	2	13.11%
The University of Iowa	10,300	2	10.26	18,650	1	20.12
Iowa City Community School District	2,200	3	2.19	1,700	3	1.83
Veterans Health Administration	2,000	3	1.99	1,562	4	1.69
City of Iowa City	1,600	5	1.59	1,180	8	1.27
Integrated DNA Technologies	1,350	6	1.34	-	-	-
Mercy Hospital	1,300	7	1.29	1,187	6	1.28
Proctor & Gamble	1,300	7	1.29	-	-	-
American College Testing	985	9	0.98	1,181	7	1.27
Pearson Educational Measurement	800	10	0.80	1,200	5	1.29
Rockwell International	700	11	0.70	770	12	0.83
Goodwill of the Heartland	638	12	0.64	-	-	-
Systems Unlimited	500	13	0.50	890	10	0.96
Centro	450	14	0.45	-	-	-
Amazon	450	14	0.45	-	-	-
Geico	435	16	0.43	-	-	-
Hy-Vee Food Stores, Inc.	400	17	0.40	1,166	9	1.26
International Automotive Comp (formerly United Tech)	-	-	-	785	11	0.85
Riverside Casino and Golf Resort	-	-	-	759	13	0.82
All other employers	60,792	-	-	49,516	-	-
Total	100,400		43.16%	92,700		42.03%

Source: Iowa City Area Development (2022 data) based upon full-time equivalents for 2022.

Iowa City Community School District

Full-Time Equivalent District Employees By Type Last Ten Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30			
	2013	2014	2015	2016
Supervisory:				
Instructional administrators	1.00	1.00	1.00	2.00
Noninstructional administrators	10.60	17.20	16.50	14.50
Athletic/activity directors	2.00	2.50	2.50	2.50
Principals	23.50	23.50	23.50	24.50
Assistant principals	6.00	7.50	6.50	7.00
Total supervisory	43.10	51.70	50.00	50.50
Instruction:				
Elementary classroom teachers	372.77	390.44	384.64	403.48
Secondary classroom teachers	260.50	267.56	255.64	265.83
Other classroom teachers	208.82	229.12	235.97	243.38
Paraprofessionals	382.95	382.12	383.96	362.71
Total instruction	1,225.04	1,269.24	1,260.21	1,275.40
Student services:				
Guidance counselors	31.10	33.40	29.72	27.79
Media specialists	25.80	27.00	26.00	25.80
Other professionals (noninstructional)	29.00	39.00	39.00	45.00
Consultants/supervisory	11.03	8.70	9.76	8.50
Total student services	96.93	108.10	104.48	107.09
Support and administration:				
Clerical/secretarial	112.00	122.00	122.00	124.00
Food service workers	81.38	78.63	73.00	84.33
Physical plant	116.90	123.75	130.06	124.44
Other	11.00	15.00	18.00	20.00
Total support and administration	321.28	339.38	343.06	352.77
Total	1,686.35	1,768.42	1,757.75	1,785.76

Source: District records

Full-Time Equivalent Employees as of June 30						Percentage Change 2013 - 2022
2017	2018	2019	2020	2021	2022	
2.00	2.00	2.00	2.00	2.00	2.00	100.00%
18.00	17.00	17.30	18.00	18.00	16.00	50.94%
2.50	3.50	3.50	3.00	3.00	3.00	50.00%
26.00	27.00	28.00	27.00	28.00	29.00	23.40%
7.00	9.00	12.00	12.00	10.00	11.00	83.33%
55.50	58.50	62.80	62.00	61.00	61.00	41.53%
415.62	435.26	438.48	409.98	408.69	415.54	11.47%
261.32	281.24	284.94	279.18	307.28	342.02	31.29%
245.09	251.75	281.39	275.81	303.87	355.51	70.25%
375.10	438.05	469.53	520.66	502.94	534.58	39.60%
1,297.13	1,406.30	1,474.34	1,485.63	1,522.78	1,647.65	34.50%
27.50	31.80	34.30	34.90	34.90	38.25	22.99%
25.80	27.75	28.50	25.65	26.35	27.00	4.65%
44.00	46.25	49.19	52.92	57.35	63.33	118.38%
43.40	47.06	45.28	44.54	66.25	56.38	411.15%
140.70	152.86	157.27	158.01	184.85	184.96	90.82%
115.00	122.97	133.63	130.56	123.19	122.47	9.35%
90.25	102.29	102.75	105.46	106.08	94.29	15.86%
127.37	138.25	145.25	152.69	164.44	167.37	43.17%
18.00	24.00	27.00	29.00	37.00	47.31	330.09%
350.62	387.51	408.63	417.71	430.71	431.44	34.29%
1,843.95	2,005.17	2,103.04	2,123.35	2,199.34	2,325.05	37.87%

Iowa City Community School District

Operating Statistics Last Ten Fiscal Years (Unaudited)

Fiscal Year	Official Enrollment	Operating Expenses	Cost Per Pupil	Percentage Change
2013	12,774	\$ 149,855,123	\$ 11,731	6.89%
2014	13,159	156,290,131	11,877	1.23
2015	13,328	150,289,181	11,276	(5.06)
2016	13,671	163,148,832	11,934	5.83
2017	13,982	170,847,691	12,219	2.39
2018	14,198	193,646,342	13,639	11.62
2019	14,285	200,092,331	14,007	2.70
2020	14,572	206,821,197	14,193	1.33
2021	14,284	221,658,467	15,518	9.33
2022	14,395	217,025,399	15,076	(2.85)

Source: District records

Note: Operating expenditures represents governmental activity expenditures less interest on long-term debt. Expenses represent business-type activity expenses, which includes the District's School Nutrition Fund.

Expenses	Cost Per Pupil	Percentage Change	Teaching Staff (in FTE)	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced-Priced Meals
\$ 4,821,834	\$ 377	5.89%	842.09	15.17	33.76%
5,507,940	419	11.14	887.12	14.83	35.06
5,822,005	437	4.29	876.25	15.21	33.74
6,189,701	453	3.67	912.69	14.98	35.73
6,036,498	432	(4.63)	922.03	15.16	36.80
6,481,988	456	5.55	968.25	14.66	35.50
6,575,441	460	0.01	1004.81	14.22	38.10
6,747,139	463	0.01	964.97	15.10	37.70
5,770,183	404	(12.74)	1019.84	14.01	36.70
7,122,873	495	22.52	1113.07	12.93	39.10

Iowa City Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2013	2014	2015	2016
Elementary:				
Coralville Central Elementary (1948,1959)				
Square feet	52,967	52,967	52,967	52,967
Capacity	506	506	506	506
Enrollment	445	426	40	422
Samuel Kirkwood Elementary (1963,1968,1987)				
Square feet	48,045	48,045	48,045	48,045
Capacity	437	437	437	437
Enrollment	319	378	363	314
Herbert Hoover Elementary (2017)**				
Square feet	36,643	36,643	36,643	36,643
Capacity	437	437	437	437
Enrollment	372	325	311	272
Hills Elementary (1965, 1969)				
Square feet	24,449	24,449	24,449	24,449
Capacity	276	276	276	276
Enrollment	112	100	111	184
Ernest Horn Elementary (1969, 1978, 2011)				
Square feet	50,603	50,603	50,603	50,603
Capacity	506	506	506	506
Enrollment	461	464	493	500
Helen Lemme Elementary (1970, 1975, 1998)				
Square feet	36,293	36,293	36,293	36,293
Capacity	368	368	368	368
Enrollment	372	399	407	395
Lincoln Elementary (1926, 1988)				
Square feet	25,832	25,832	25,832	25,832
Capacity	253	253	253	253
Enrollment	246	239	237	239
Longfellow Elementary (1917)				
Square feet	30,148	30,148	30,148	30,148
Capacity	391	391	391	391
Enrollment	334	322	329	338
Robert Lucas Elementary (1962, 1978, 1990)				
Square feet	42,080	42,080	42,080	42,080
Capacity	506	506	506	506
Enrollment	436	424	405	442
Horace Mann Elementary (1917)				
Square feet	29,360	29,360	29,360	29,360
Capacity	345	345	345	345
Enrollment	260	245	223	222
Penn Elementary (1961, 1985, 1995)				
Square feet	38,838	38,838	38,838	38,838
Capacity	460	460	460	460
Enrollment	516	524	530	552

** The District constructed a new school building but transferred the same name to the new building in 2017

(Continued)

Fiscal Year					
2017	2018	2019	2020	2021	2022
52,967	52,967	52,967	53,287	53,287	53,287
506	420	420	420	420	420
439	431	429	452	470	435
48,045	48,045	48,045	51,764	51,764	51,764
437	468	468	468	468	468
343	324	350	280	270	243
36,643	67,388	67,388	67,388	67,388	67,388
437	575	575	575	575	575
261	256	261	420	438	437
24,449	24,449	24,449	24,565	24,565	24,565
276	200	200	200	200	200
199	198	188	175	162	150
50,603	50,603	50,603	50,179	50,179	50,179
506	468	468	468	468	468
480	413	394	440	423	424
36,293	36,293	36,293	36,878	36,878	36,878
368	420	420	420	420	420
377	376	397	369	357	372
25,832	25,832	25,832	43,908	43,908	43,908
253	253	240	240	240	240
227	228	214	240	229	205
30,148	30,148	30,148	63,554	63,554	63,554
391	360	360	360	360	360
336	304	341	403	405	372
42,080	42,080	42,080	46,342	46,342	46,342
506	410	410	410	410	410
442	455	455	335	293	271
29,360	29,360	29,360	51,619	51,619	51,619
345	345	242	242	242	242
242	223	218	242	236	212
38,838	38,838	38,838	75,232	75,232	75,232
460	460	633	633	633	633
576	636	616	494	495	488

Iowa City Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2013	2014	2015	2016
Elementary:				
Theodore Roosevelt Elementary (1931, 1961) *				
Square feet	29,008	29,008	29,008	29,008
Capacity	264	264	264	264
Enrollment	40	40	40	40
Bouhmil Shimek Elementary (1970, 1991)				
Square feet	28,130	28,130	28,130	28,130
Capacity	276	276	276	276
Enrollment	228	215	210	212
Mark Twain Elementary (1954, 1961)				
Square feet	40,204	40,204	40,204	40,204
Capacity	460	460	460	460
Enrollment	299	323	378	262
Irving Weber Elementary (1993, 2001)				
Square feet	48,400	48,400	48,400	48,400
Capacity	506	506	506	506
Enrollment	477	492	490	422
Grant Wood Elementary (1969, 1993, 2006)				
Square feet	59,890	59,890	59,890	59,890
Capacity	575	575	575	575
Enrollment	569	525	511	360
Kate Wickham Elementary (1997)				
Square feet	56,049	56,049	56,049	56,049
Capacity	506	506	506	506
Enrollment	481	482	503	529
James Van Allen Elementary (2005)				
Square feet	61,081	61,081	61,081	61,081
Capacity	552	552	552	552
Enrollment	499	500	507	524
Buford Garner Elementary (2010)				
Square feet	63,815	63,815	63,815	63,815
Capacity	529	529	529	529
Enrollment	504	539	581	609
Norman Borlaug Elementary (2012)				
Square feet	67,029.00	67,029	67,029	67,029
Capacity	552.00	552	552	552
Enrollment	352.00	382	403	431
Alexander Elementary (2015)				
Square feet	-	-	-	67,714.00
Capacity	-	-	-	500.00
Enrollment	-	-	-	348.00
Christine Grant Elementary (2019)				
Square feet				
Capacity				
Enrollment				
Junior High:				
Northwest Junior High School (1971, 1995)				
Square feet	124,436	124,436	124,436	124,436
Capacity	875	875	875	875
Enrollment	650	679	641	628

* During fiscal year 2013, the District changed the name of this school to Theodore Roosevelt Education Center and are serving students for various programs in this building. Effective June 2019, the District is no longer serving student in this facility and sold this building in August 2021

(Continued)

Fiscal Year					
2017	2018	2019	2020	2021	2022
29,008	29,008	29,008	29,898	29,898	-
264	264	264	-	-	-
40	50	50	-	-	-
28,130	28,130	28,130	28,130	28,130	28,130
276	290	290	290	290	290
215	212	208	204	176	182
40,204	40,204	40,204	51,714	51,714	51,714
460	360	360	360	360	360
311	336	345	209	210	187
48,400	48,400	48,400	68,370	68,370	68,370
506	506	575	575	575	575
425	467	466	576	558	539
59,890	59,890	59,890	62,773	62,773	62,773
575	575	525	525	525	525
305	306	301	325	348	350
56,049	56,049	56,049	55,430	57,115	57,115
506	525	525	525	525	525
513	483	477	411	367	334
61,081	61,081	61,081	65,779	65,779	65,779
552	552	552	564	564	564
501	501	502	466	430	376
63,815	63,815	63,815	67,398	67,398	67,398
529	525	525	525	525	525
619	658	682	509	458	439
67,029	67,029	67,029	68,205	72,018	72,018
552	468	468	468	468	468
431	457	507	467	425	383
67,714	67,714	67,714	74,319	74,319	74,319
500	500	575	575	575	575
407	418	427	328	306	291
			76,410	76,410	76,410
			625	625	625
			522	531	522
124,436	124,436	124,436	127,547	145,580	145,580
875	875	850	850	850	850
652	728	706	768	819	723

Iowa City Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2013	2014	2015	2016
Junior High (continued):				
South East Junior High School (1959, 1982, 1995)				
Square feet	138,806	138,806	138,806	138,806
Capacity	775	775	775	775
Enrollment	761	771	800	801
North Central Junior High School (2006)				
Square feet	82,612	82,612	82,612	82,612
Capacity	450	450	450	450
Enrollment	469	467	478	504
High School:				
City High School (1939, 1974, 1982, 1985, 1990, 1995, 2005, 2013)				
Square feet	267,752	287,047	287,047	287,047
Capacity	1,600	1,600	1,600	1,600
Enrollment	1,414	1,494	1,599	1,668
West High School (1969, 1983, 1986, 1993, 1996, 2005)				
Square feet	339,217	339,217	339,217	339,217
Capacity	1,800	1,800	1,800	1,800
Enrollment	1,956	1,941	1,985	2,001
Elizabeth Tate High School (2005)				
Square feet	19,700	19,700	19,700	19,700
Capacity	160	160	160	160
Enrollment	149	135	151	158
Liberty High School (2017)				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Portable Classrooms (Various)				
Square feet	36,000	35,100	35,100	35,100
Capacity				
Number	40	39	39	40
Other:				
Central Administration Building (1917)				
Square feet	-	-	-	-
Educational Services Center (2011)				
Square feet	41,776	41,776	41,776	41,776
Physical Plant Building (1984)				
Square feet	19,638	19,638	19,638	19,638
Athletics:				
Football fields	5	5	5	5
Soccer fields	2	2	2	2
Running tracks	2	2	2	2
Baseball/softball fields	4	4	3	3
Tennis Courts	2	2	2	2
Playgrounds	19	19	19	20

Source: District records

Fiscal Year					
2017	2018	2019	2020	2021	2022
138,806	138,806	138,806	146,237	146,237	146,237
775	775	750	750	750	750
826	747	780	818	821	773
82,612	82,612	82,612	115,496	115,496	115,496
450	450	450	800	800	800
551	547	551	582	558	539
287,047	287,047	287,047	288,505	288,505	288,505
1,600	1,600	1,600	1,600	1,600	1,600
1,717	1,537	1,578	1,564	1,571	1,552
339,217	339,217	339,217	356,576	356,576	356,576
1,800	1,800	1,600	1,600	1,600	1,600
2,092	1,548	1,494	1,439	1,438	1,427
19,700	19,700	19,700	40,356	40,356	40,356
160	160	160	168	168	168
154	163	140	146	132	136
-	270,000	270,000	305,739	305,739	305,739
-	1,000	1,000	1,500	1,500	1,500
-	723	927	1,066	1,136	1,115
35,100	35,100	35,100	44,597	34,853	34,853
40	40	40	40	32	32
-					
41,776	41,776	41,776	43,436	43,436	43,436
19,638	19,638	19,638	47,734	47,734	47,734
5	5	6	6	6	6
2	2	2	3	3	3
2	2	3	3	3	3
3	3	3	5	5	5
2	2	2	3	3	3
20	21	21	21	21	21

Iowa City Community School District

Schedule of Expenditures of Federal Awards Year Ended June 30, 2022

Federal Grantor/Pass-Through Grantor/Program Title	Federal Assistance Listing Number (ALN)	Pass-Through Entity Identifying Number	Pass Through To Subrecipients	Federal Expenditures
U.S. Department of Agriculture:				
Passed through the State Department of Agriculture and State of Iowa Department of Education:				
Child Nutrition Cluster:				
National School Breakfast Program	10.553	77-1737	\$ -	\$ 1,444,525
USDA Commodities (Noncash)	10.555	77-1737	-	663,661
National School Lunch Program	10.555	77-1737	-	6,684,329
Subtotal ALN 10.555			-	7,347,990
COVID-19—National School Lunch Program	10.559	N/A	-	172,307
National School Summer Program	10.559	77-1737	-	59,259
Subtotal ALN 10.559			-	231,566
Fresh Fruit & Vegetable Grant	10.582	N/A	-	92,860
Total U.S. Department of Agriculture and Child Nutrition Cluster			-	9,116,941
U.S. Department of Defense:				
Passed through Johnson County, Iowa:				
Flood Control Projects	12.106	N/A	-	4,483
U.S. Department of Education:				
Passed through State of Iowa Department of Education:				
Title I - Grants to Local Educational Agencies	84.010A	N/A	-	3,964,048
Title I - Grants to Local Educational Agencies—Schools in Need of Assistance	84.010A	N/A	-	51,413
Subtotal ALN 84.010A			-	4,015,461
IDEA - High Cost Claim *	84.027	N/A	-	643,847
Vocational Education Basic Grants to States	84.048A	77-6957	-	139,982
Education for Homeless Children and Youth	84.196	N/A	-	39,023
Twenty-First Century Learning Centers	84.287A	N/A	-	440,652
Title II - Improving Teacher Quality State Grant	84.367	N/A	-	414,953
Title IV - Student Support and Academic Enrichment Program	84.424	N/A	-	206,547
Education Stabilization Fund				
COVID-19—ESSER I Funds	84.425D	N/A	-	32,608
COVID-19—ESSER II Funds	84.425D	N/A	-	5,507,863
COVID-19—ESSER III Funds	84.425U	N/A	-	9,173,664
COVID-19—ESSER III Funds - Homeless Children and Youth	84.425W	N/A	-	84,184
Subtotal Education Stabilization Fund			-	14,798,319
Passed through Grant Wood Area Education Agency:				
Special Education Grants to States *	84.027	N/A	-	814,753
Title III - English Language Acquisition	84.365	N/A	-	54,752
Total U.S. Department of Education			-	21,568,289
U.S. Department of Health and Human Services:				
Passed through State of Iowa Department of Health and Human Services, Child Care and Development Block Grant, CCDF Cluster	93.575	N/A	-	31,430
U.S. Department of Justice				
COPS Grant	16.710	N/A	-	95,682
U.S. Department of Homeland Security				
Passed through State of Iowa Department of Homeland Security and Emergency Management, Disaster Grants - Public Assistance (Presidentially Declared Disasters)	97.036	N/A	-	483,273
Total expenditures of federal awards			\$ -	\$ 31,300,098

* Total Special Education Cluster (CFDA No. 84.027): \$1,458,600

See notes to schedule of expenditures of federal awards.

Iowa City Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2022

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the Schedule) federal award activity of Iowa City Community School District (the District), under programs of the federal government for the year ended June 30, 2022. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

Note 2. Significant Accounting Policies

Expenditures of federal awards are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3. Indirect Cost Rate

The District has elected not to use the 10% de minimus indirect cost rate allowed under the Uniform Guidance.

**Report on Internal Control Over Financial Reporting and on
Compliance and Other Matters Based on an Audit of
Financial Statements Performed in Accordance With
*Government Auditing Standards***

Independent Auditor's Report

Board of Education
Iowa City Community School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Iowa City Community School District (the District) as of and for the year ended June 30, 2022, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated December 20, 2022.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies, and therefore, material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We identified a certain deficiency in internal control, described in the accompanying *schedule of findings and questioned costs* as item 2022-001 that we consider to be a significant deficiency.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

The District's Response to Finding

Government Auditing Standards requires the auditor to perform limited procedures on the District's response to the finding identified in our audit and described in the accompanying schedule of findings and questioned costs. The District's response was not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

RSM VS LLP

Davenport, Iowa
December 20, 2022

**Report on Compliance For Each Major Federal Program;
Report on Internal Control Over Compliance; and
Report on Schedule of Expenditures of Federal Awards
Required by the Uniform Guidance**

RSM US LLP

Independent Auditor's Report

Board of Education
Iowa City Community School District

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Iowa City Community School District's (the District's) compliance with the types of compliance requirements identified as subject to audit in the OMB Compliance Supplement that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2022. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2022.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- exercise professional judgment and maintain professional skepticism throughout the audit.
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Other Matters

The results of our auditing procedures disclosed an instance of noncompliance which is required to be reported in accordance with the Uniform Guidance and which is described in the accompanying schedule of findings and questioned costs as item 2022-002. Our opinion on each major federal program is not modified with respect to these matters.

Government Auditing Standards requires the auditor to perform limited procedures on the District's response to the noncompliance finding identified in our compliance audit described in the accompanying schedule of findings and questioned costs. The District's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

RSM VS LLP

Davenport, Iowa
December 20, 2022

Iowa City Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2022**

I. Summary of the Auditor's Results

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP: Unmodified

Internal control over financial reporting:

- Material weakness(es) identified?
- Significant deficiency(ies) identified?

<u> </u>	Yes	<u> x </u>	No
<u> x </u>	Yes	<u> </u>	None Reported
<u> </u>	Yes	<u> x </u>	No

Noncompliance material to financial statements noted?

Federal Awards

Internal control over major federal programs:

- Material weakness(es) identified?
- Significant deficiency(ies) identified?

<u> </u>	Yes	<u> x </u>	No
<u> </u>	Yes	<u> x </u>	None Reported

Type of auditor's report issued on compliance for major federal programs: Unmodified

- Any audit findings disclosed that are required to be reported in accordance with
Section 2 CFR 200.516(a)

<u> x </u>	Yes	<u> </u>	No
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Identification of major federal programs:

Federal Assistance Listing Number	Name of Federal Program or Cluster
84.010A	Title I - Grants to Local Educational Agencies
84.425D, 84.425U, 84.425W	COVID-19 - Education Stabilization Fund

Dollar threshold used to distinguish between type A and type B programs: \$939,003

Auditee qualified as low-risk auditee?

<u> </u>	Yes	<u> x </u>	No
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(Continued)

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2022

II. Financial Statement Findings

A. Internal Control

2022-001

Finding: The District recorded expenditures in the improper fiscal year.

Criteria: Management of the District is responsible for establishing and maintaining effective internal controls over financial reporting. These controls should allow management or employees to prevent, or detect and correct, misstatements to the financial statements on a timely basis.

Condition: During the audit, there were two audit adjustments proposed to the original trial balance presented to us during the audit, which affected expenditures and accounts payable, for expenditures that were recognized in the incorrect fiscal year. Specifically, an audit adjustment was recorded to the Physical Plant and Equipment Levy fund expenditures and accounts payable for approximately \$224,000. An audit adjustment was also recorded to the Capital Projects Fund expenditures and accounts payable for approximately \$44,000.

Cause: The District's internal controls in place did not identify the expenditure cutoff error.

Effect or potential effect: There were two adjustments proposed during the audit process. There is also the potential effect of material misstatements to the financial statements if such errors are not identified.

Recommendation: We recommend the District implement a reconciliation and review process to identify the service period of purchased services and allocate expenditures to the appropriate fiscal year.

Management response: Management agrees with the finding.

B. Instances of Noncompliance

None reported.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2022

III. Federal Award Findings and Questioned Costs

A. Internal Control

None reported

B. Instances of Noncompliance

2022-002

U.S. Department of Education
Title 1 – Grants to Local Educational Agencies
Passed through State of Iowa Department of Education
Federal Assistance Listing Number (ALN) 84.010A
Federal Award Year: 2022

Finding: The District did not maintain record of a student's withdrawal from the District.

Criteria: In accordance with Title I, to remove a student from the cohort, a school or LEA must confirm, in writing, that the student transferred out, emigrated to another country, transferred to a prison or juvenile facility, or is deceased. To confirm that a student transferred out, the school or LEA must have official written documentation that the student enrolled in another school or in an educational program that culminates in the award of a regular high school diploma.

Condition: For 1 out of 25 student withdrawals tested, the District did not maintain record of the student's withdrawal from the District.

Cause: Non-maintenance of record of student withdrawal documentation.

Effect: Failure to adhere to reporting requirements can result in actions taken by oversight agencies, which could impact future funding.

Questioned costs: None

Context: For 1 out of 25 student withdrawals tested, the District did not maintain record of the student's withdrawal out of the District.

Identification as a repeat finding, if applicable: Not applicable

Recommendation: We recommend the District implement procedures to properly ensure records are maintained for all student withdrawals from the District.

Management response: Management agrees with the finding.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2022

IV. Other Findings Related to Required Statutory Reporting

IV-A-22—Certified Budget and General Fund Spending Authority

No expenditures exceeded the amended certified budget amounts.

IV-B-22—Questionable Expenditures

No expenditures that may not meet the requirements of public purpose defined in the Attorney General's opinion dated April 25, 1979, were noted.

IV-C-22—Travel Expenses

No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-22—Business Transactions

No material business transactions between the District and District officials or employees were noted.

IV-E-22—Restricted Donor Activity

No transactions were noted between the District, District Officials or District employees and restricted donor in compliance with Chapter 68B of the Code of Iowa.

IV-F-22—Bond Coverage

Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage is reviewed annually to ensure the coverage is adequate for current operations.

IV-G-22—Board Minutes

No transactions requiring Board approval which had not been approved in the Board minutes were noted.

IV-H-22—Certified Enrollment

Finding: There were various certified enrollment variances identified by the state and the District that resulted in an decrease of 5.84 students from the October 1, 2021 certified enrollment numbers reported by the District.

Recommendation: The District should correct errors prior to providing the information to the state to avoid adjustments made by the state.

Response and corrective action plan: The District will contact the Iowa Department of Education and Iowa Department of Management notifying them of the above changes. The District will continue to monitor supporting information and reconciliation of data submitted to the Iowa Department of Education.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2022

IV-I-22—Supplementary Weighting

No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

IV-J-22—Deposits and Investments

No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Iowa Code and the District's investment policy were noted.

IV-K-22—Certified Annual Report

The Certified Annual Report (CAR) was filed with the Department of Education timely.

IV-L-22—Categorical Funding

No instances were noted of categorical funding being used to supplant rather than supplement other funds.

IV-M-22—State-Wide Sales, Services and Use Tax

No instances of noncompliance with the use of the state-wide sales, services and use tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the state-wide sales, services and use tax revenue. For the year ended June 30, 2022, the District's financial activity and other required information for the state-wide sales, services and use tax revenue are as follows:

Beginning balance	\$	1,409,807
State-wide sales, services and use tax		17,240,332
Interest		17,654
Contributions and rebates		337,231
Expenditures/transfers out:		
Family Resource Programs		(583,005)
Administration services		
School infrastructure:		
Buildings		(1,828,964)
Equipment		(488,073)
Support services		
Transfer to debt service		(12,643,928)
Ending balance	\$	<u>3,461,054</u>

For the year ended June 30, 2022, the District did not reduce any levies as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2022

IV-N-22—Deficit Balances

None of the District's funds had deficit fund balances as of June 30, 2022.

IV-O-22—Revenue Bonds

The District has an appropriate sinking fund as required for revenue bonds outstanding as of June 30, 2022.

IV-P-22—Student Activity Fund

No instances of noncompliance with the use of student activity funds provisions of Chapter 298A.8 of the Code of Iowa and Iowa Administrative Rule 281-12.6(1).

IV-Q-22—Early Childhood Iowa Area Board

The District is not the fiscal agent for the Early Childhood Iowa Area Board.



Iowa City Community School District

Educational Services Center

Matthew Degner Superintendent of Schools
1725 North Dodge Street • Iowa City, IA 52245 • (319) 688-1000 • Fax (319) 688-1009 • www.iowacityschools.org

SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS FOR THE YEAR ENDED JUNE 30, 2022

2021-001:

Finding: The District did not have adequate procedures in place to ensure that construction in progress was complete and accurate and recorded in accordance with GAAP.

Corrective Action Taken: Corrected. The District identified the amount in its preparation of the June 30, 2021 workpapers and supporting report amounts and provided the information to RSM during regular audit procedures. The finding was identified through an extra reconciliation step related to construction projects and the properly recorded amounts for the end of the appropriate fiscal year. This reconciliation was used in this fiscal year and will continue to be used in future fiscal years.

Respectfully,

Leslie Finger
Chief Financial Officer, Treasurer
School Business Official
Iowa City Community School District



Iowa City Community School District

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CORRECTIVE ACTION PLAN YEAR ENDED JUNE 30, 2022

Identifying Number: 2022-001

Finding: The District recorded expenditures in the improper fiscal year. The expenditures noted were related to construction projects recorded in the Physical Plant and Equipment Levy and Capital Projects Fund only.

Corrective Actions Taken or Planned: The District identified the amounts in its preparation of the June 30, 2022 workpapers and supporting report amounts and provided the information to RSM as an adjustment to the original trial balance. The District currently reviews all construction invoices to determine amounts to record for these construction project invoices that cover service periods of several weeks to several months for determination of the appropriate amounts to be recorded for each fiscal period. The District will have a second person review these invoices to ensure all invoices are reviewed and the determination of service period is consistent for all projects and vendors. The completion date for the review process is June 30, 2023 and future fiscal years. Leslie Finger, Chief Financial Officer is responsible for the corrective action plan.

Identifying Number: 2022-002

Finding: The District did not maintain record of a student's withdrawal from the District.

Corrective Actions Taken or Planned: During testing by RSM of the student records related to the Title I program, a record of a student's withdrawal from the District was not maintained. RSM provided this testing irregularity to the appropriate district staff and the District has adjusted its recording for the 2022-23 school year related to include additional signoffs from parents/guardians or communications with other districts or programs. In addition, the District has added additional documentation steps within Infinite Campus, its student information system, to track those students entering or exiting these student support programs. These procedures will be continued for June 30, 2023 and future fiscal years. Leslie Finger, Chief Financial Officer is responsible for the corrective action plan.

Respectfully,

Leslie Finger
Chief Financial Officer, Treasurer
School Business Official
Iowa City Community School District